

0452 | PAPER 2

TOPIC 05

Preparation of financial statements

FULL ANSWER GUIDE | 2021-2025

68 indexed questions • 1382 total marks

Independently reformatted and rewritten for study. Original examination questions are not reproduced.

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How to use: open the matching question in the topical bank, attempt it first, then compare with the answer guide below. Standard accounting terms and figures are retained; explanatory points are shortened and independently worded.

5.1 Sole traders

Question 01 | Oct/Nov 2021 Paper 21 Question 1 - 20 marks

1(a) \$

Payments to trade payables	257 700
Less Opening trade payables	32 600
	225 100
Add Closing trade payables	29 600
Purchases	254 700

1(b) Shiv 11

Income Statement for the year ended 31 August 2021

	\$	\$
Revenue		320 000
Cost of sales		
Opening inventory	23 500	
Purchases	254 700 OF	
	278 200	
Closing inventory	22 200 CF/ OF	
		256 000 OF
Gross profit		64 000
Expenses (34 000 + 400 - 900)	33 500	
Provision for doubtful debts	777	
Depreciation of equipment (16 000 - 12 800)	3 200	
Profit for the year		37 477 26 523 OF

1(c) Business entity

1(d) Inventory should be valued at the lower of cost and net realisable value

Cost of sales would be understated

Key point: profit overstated profit shown realistic level

The current assets/inventory will be overstated
Prudence principle is not being observed
Consistency principle is not being observed
Comparison with previous years/competitors would not be accurate
Accounting records must present a realistic view of the business

END OF ANSWER

Question 02 | Oct/Nov 2022 Paper 21 Question 3 - 20 marks

3(a) RB

Insurance account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2021			2022		
Apr 1	Balance b/d	2 500	Mar 31	Bank	600
2022				Income statement	16 350 OF
Mar 31	Bank	15 300		Balance c/d	850
		17 800			17 800
Apr 1	Balance b/d	850 **			

Commission receivable account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2021			2022		
Apr 1	Balance b/d	700	Mar 31	Bank	7 200
2022				Balance c/d	630
Mar 31	Income statement	7 130 OF			
		7 830			7 830
Apr 1	Balance b/d	630 **			

3(b) RB

Extract from Statement of financial position at 31 March 2022

Current assets	\$
Other receivables (850 + 630)	1480

OR	
Current assets	
Insurance prepaid	850 }
Commission receivable accrued	630 }

3(c) Ensures the correct amount of revenue and expenses for the period are entered in the income statement

Key point: Ensures revenue expenses stated Key point: Ensures profit year correctly calculated stated

Ensures that profitability ratios can be relied upon/more reliable decision-making

$$3(d)(i) \quad \$3000 \times 25\% = \$750$$

$$3(d)(ii) \quad \$2250 \times 2\% = \$45$$

$$3(d)(iii) \quad (\$3000 - \$750) = \$2250$$

$$\$2250 - \$45 = \$2205 \text{ OF}$$

3(e) Discount allowed

		increase	decrease	no effect
	gross profit			□
	profit for the year		□	
Discount received		increase	decrease	no effect
	gross profit			□
	profit for the year	□		

END OF ANSWER

5.2 Partnerships

Question 01 | May/June 2021 Paper 21 Question 2 - 20 marks

2(a) John and Banu

Income Statement for the year ended 31 March 2021			
	\$		\$
Revenue			158 000
Cost of sales			
Opening inventory	9 400		
Purchases	69 200		
	78 600		
Less Closing inventory	9 200		
			69 400
Gross profit			88 600
Commission receivable (4 800 + 300)			5 100
			93 700
Less Expenses			
Rates and insurance (11 250 + 650)	11 900		
Wages	10 475		
General expenses	9 675		
Discount allowed	2 000		
Depreciation of fittings (15% × 18 000)	2 700	36 750	
Profit from operations			56 950
Loan interest			500
Profit for the year			56 450

2(b) John and Banu

Appropriation Account for the year ended 31 March 2021			
		\$	\$
Profit for the year			56 450
Add interest on drawings	John	1 140	
	Banu	1 260	
			2 400
Less			58 850
Interest on capital	John	2 250	
	Banu	1 500	
		3 750	
Salary	John	8 500	
			12 250
			46 600
Profit share	John (40% × 46 600)	18 640	
	Banu (60% × 46 600)	27 960	
			46 600

2(c)(i) To discourage the partners from taking drawings

2(c)(ii) To reward John for lending money to the business

Key point: compensate John interest he earned elsewhere

(Max 1)

2(d)

Continuity of existence of the business

Banu may have skills and knowledge which John does not have

□

Key point: John liable debts up he agreed contribute

Additional finance is available to the business

□

Risks and responsibilities are shared

□ }

Key point: John bound actions Banu carried out behalf

John can discuss matters with Banu before making decisions.

□

+ if items 1, 3 and 6 are un-ticked

END OF ANSWER

Question 02 | Feb/Mar 2022 Paper 22 Question 5 - 34 marks

5(a) Priti and Paisley

Appropriation Account for the year ended 31 January 2022			
		\$	\$
Profit for the year			33 100
Add Interest on drawings	Priti	750	
	Paisley	650	
			1 400
			34 500
Less Interest on capital	Priti	4 000	
	Paisley	800	
		4 800	

Less Salary	Paisley	6 000	10 800
Share of profit	Priti	17 775 }	23 700
	Paisley	5 925 }	0F 23 700

5(b) Paisley

Dr				Current account			Cr		
Date	Details		\$	Date	Details		\$		
2022				2021					
Jan 31	Drawings	13 000		Feb 1	Balance b/d	2 350			
	Interest on drawings	0F	650	2022					
	Balance c/d		1 425	Jan 31	Interest on capital	0F	800		
					Salary	6 000			
					Profit share	0F	5 925		
								15 075	
			15 075	2022					
				Feb 1	Balance b/d	0F	1 425		

5(c) Is entitled to only one quarter of the residual profit

His total profit share is significantly less than Priti's

Key point: feel he getting adequate reward his extra duties responsibilities

May be able to earn more as a manager elsewhere

Risk: His total profit share lower drawings year

5(d) Advantages

Limited liability/ a company is a separate legal entity
Can raise more finance
More options for raising finance

Key point: Different ways raising finance available ordinary preference shares debentures loans

Or other relevant advantages

Disadvantages
Costly to establish
More complex/regulated accounting required/have to publish accounts/more legal requirements
May lose control of the business
Decisions may take longer

Key point: Dividends paid shareholders share profit

Or other relevant disadvantages

Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2022 Paper 22 Question 5 - 20 marks

5(a) Sian and Tom

Key point: Profit loss appropriation year ended 31 March 2022

	\$	\$
Profit for the year		59 190
add interest on drawings		
Sian [240 + 90]	330	
Tom [300 + 180]	480	
		810
		60 000
less interest on capital		
Sian (150 000 x 6%)	9 000	
Tom (100 000 x 6%)	6 000	
		15 000
		45 000
less partners salary Sian		20 000
		25 000
Share of profits: Sian	15 000 }	
Tom	10 000 }	0F
		25 000

5(b)

Sian and Tom
Statement of financial position (extract) at 31 March 2022

	\$	\$	\$
Capital Sian			150 000
Tom			100 000
			250 000
Current	Sian	Tom	
Balance b/d	3 000	(7 000) both	
Interest on capital	9 000	6 000 0F both	
Salary	20 000	-	

Profit	15 000	10 000 OF	
	47 000	9 000	
Drawings	14 000	22 000	
Interest on drawings	330	480 OF	
	14 330	22 480	
	32 670	(13 480)	
			19 190
			269 190 OF

5(c) The amount the partner owes to the partnership

Indicates that the partner's drawings are too high

Key point: Indicates partner drawings greater total profit share

5(d) Assumes the business will operate for an indefinite period of time

Risk: Assumes intention close down reduce size significantly Key point: Non current assets valued net book value expected sales

END OF ANSWER

Question 04 | Feb/Mar 2023 Paper 22 Question 5 - 20 marks

5(a) Samir and Punita

Appropriation Account for the year ended 31 December 2022

		\$	\$
Profit for the year			24 600
Add Interest on drawings			
Samir	800 }		
Punita	620 }	1 420	
		26 020	
Less Interest on capital			
Samir	2 400 }		
Punita	2 250 }		
	4 650		
Less Salary - Punita	11 000	15 650	
		10 3700F	
Share of profit			
Samir	6 2220F		
Punita	4 1480F	10 370	

5(b) Punita

Dr			Current account			Cr		
Date	Details	\$	Date	Details	\$			
2022			2022					
Dec 31	Drawings 12 400		Dec 31	b/d	8 335			
	Interest on drawings OF	620		Interest on capital OF	2 250			
	Balance c/d	12 713		Salary	4 148			
		25 733		Profit share OF	25 733			
			2023					
			Jan 1	Balance b/d OF	12 713			

5(c)

	Increase	Decrease	No effect
Partnership profit for the year			YES
Samir's drawings	YES		
Samir's interest on drawings	YES		

5(d) Advantages

Shareholders have limited liability
Company is a separate legal entity
May improve reputation/standing of the business
Continuity of existence

Disadvantages
More complex accounting required/have to produce annual financial statements
More legal requirements
May be costly to establish
May be increased administration costs

Recommendation

END OF ANSWER

Question 05 | May/June 2023 Paper 22 Question 4 - 20 marks

4(a) Akila and Darius

Appropriation Account for the year ended 30 April 2023			
		\$	\$
Profit for the year			42 304
Add interest on drawings Akila	970 }		
Darius	816 }	1 786	
			44 090
Less			
Interest on capital Akila	2 700 }		
Darius	1 950 }		
	4 650		
Salary - Akila	9 500		
			14 150
			29 940
Profit share Akila (60% of 29 940)	17 964 OF		
Darius (40% of 29 940)	11 976 OF	29 940	

4(b)(i) Akila

Dr			Current account			Cr
Date	Details	\$	Date	Details	\$	
2022			2023			
May 1 Balance b/d	2 600		Apr 30 Interest on capital	2 700		
2023				Salary		9 500
Apr 30 Drawings		19 400		Profit share	17 964	
Interest on drawings		970				
Balance c/d	7 194					
		30 164	2023	May 1 Balance b/d		30 164
						7 194

4(b)(ii) $7194 \text{ OF} + 1000 \text{ (interest on loan)} - 600 \text{ (reduction in profit share)} = 7594 \text{ OF}$

4(c) Amount of capital to be invested by each partner

Any limit on drawings
Interest on partners' loans

4(d) Advantages - forming a limited company

May be easier to raise funds
Company is a separate legal identity
Shareholders have limited liability
Continuity of existence
May improve reputation / standing of the business

Disadvantages - forming a limited copy
Maybe increase administration costs
Maybe costly to establish
More legal requirements

Key point: complex required produce annual financial statements

More information about the business may be made public
Recommendation

END OF ANSWER

Question 06 | May/June 2024 Paper 22 Question 4 - 20 marks

4(a) Tadeen and Yadiid

Income Statement for the year ended 30 April 2024			
		\$	\$
Revenue			236 350
Expenses			
Salaries (79 800 + 1 800)	81 600		
Rates and insurance (17 320 - (10/12 of 1 920) = 1 600)	15 720 /OF		
Advertising	16 730 }		
Office expenses	6 150 }		
Depreciation of fittings and equipment (15% of 70 000)	10 500		
Irrecoverable receivables	670	131 370	
Profit from operations			104 980
Loan interest			1 200
Profit for the year			103 780 OF

4(b) Tadeen and Yadiid

Appropriation account for the year ended 30 April 2024			
		\$	\$
Profit for the year			103 780 OF
Add interest on drawings Tadeen	1 715 }		
Yadiid	2 325 }	4 040	
			107 820
Less			
Interest on capital Tadeen	3 750 }		
Yadiid	2 550 }		

Salary Yadid		6 300	
		10 000	16 300
Profit share	Tadeen		91 520
	Yadid	54 912 OF	
		36 608 OF	91 520

4(c)(i) To avoid a debit balance on their current account

Benefit: keep cash benefit profits making loss

To reduce interest charged on drawings

4(c)(ii) Going concern

4(d) For

Benefit: benefit skills experience Raim Benefit: Raim contribute towards increased revenue profit attract customers

Raim would share workload

Raim would share the risks/responsibilities/losses

They could require Raim to introduce capital

Key point: They need spend advertising Raim well known area

Against

The profits would need to be shared with Raim

Raim's profit share would be greater than an employee's salary

Risk: Raim profit share significantly reduce profit available existing partners Key point: They need take Raim views disagreements

They would be liable for the actions of Raim

Recommendation

END OF ANSWER

Question 07 | May/June 2024 Paper 23 Question 4 - 20 marks

4(a) Tadeen and Yadid

Income Statement for the year ended 30 April 2024			
		\$	\$
Revenue			236 350
Expenses			
Salaries (79 800 + 1 800)	81 600		
Rates and insurance (17 320 - (10/12 × 1 920)=1 600)	15 720 /OF		
Advertising	16 730 }		
Office expenses	6 150 }		
Depreciation of fittings and equipment (15% × 70 000)	10 500		
Irrecoverable receivables	670	131 370	
Profit from operations			104 980
Loan interest			1 200
Profit for the year			103 780 OF

4(b) Tadeen and Yadid

Appropriation account for the year ended 30 April 2024			
		\$	\$
Profit for the year			103 780 OF
Add interest on drawings	Tadeen	1 715 }	
	Yadid	2 325 }	4 040
			107 820
Less			
Interest on capital	Tadeen	3 750 }	
	Yadid	2 550 }	
		6 300	
Salary Yadid		10 000	16 300
			91 520
Profit share	Tadeen	54 912 OF	
	Yadid	36 608 OF	91 520

4(c)(i) To avoid a debit balance on their current account

Benefit: keep cash benefit profits making loss

To reduce interest charged on drawings

4(c)(ii) Going concern

4(d) For

Benefit: benefit skills experience Raim Benefit: Raim contribute towards increased revenue profit attract customers

Raim would share workload

Raim would share the risks / responsibilities / losses

They could require Raim to introduce capital

Key point: They need spend advertising Raim well known area

Against
The profits would need to be shared with Raim
Raim's profit share would be greater than an employee's salary

Risk: Raim profit share significantly reduce profit available existing partners Key point: They need take Raim views disagreements

They would be liable for the actions of Raim

Recommendation

END OF ANSWER

Question 08 | Oct/Nov 2024 Paper 21 Question 2 - 20 marks

2(a) Ali & Sai

Key point: Profit loss appropriation year ended 30 June 2024

			\$		\$
Profit for the year (42 700 - 500)				42 200	
Add Interest on drawings Ali			550		
Sai			800	1 350	
				43 550	
Less Interest on capital Ali			3 600		
Sai			2 400		
			6 000		
Salary Sai			10 050	16 050	
Residual profit				27 500	
Profit share Ali			16 500		
Sai			11 000	27 500	

2(b) Sai

Dr			Capital account			Cr	
Date	Details	\$	Date	Details	\$		
2024			2023				
June 30	Balance c/d	40 000	July 1	Balance b/d	40 000		
		40 000			40 000		
			2024				
			July 1	Balance b/d	40 000		
			Sai				
Dr			Current account			Cr	
Date	Details	\$	Date	Details	\$		
2024			2023				
June 30	Drawings 16 000	16 000	July 1	Balance b/d	250		
	Interest on drawings	800	2024				
	Balance c/d	6 900	June 30	Interest on capital	2 400		
				Salary	10 050		
				Profit share	11 000		
					23 700		
			2024				
			July 1	Balance b/d	6 900		

2(c) Profits have to be shared among the partners

Decisions must be recognised by all partners
Decisions may take longer to put into effect

Key point: One partner actions behalf binding all partners

Disagreements can occur
All partners are responsible for the debts of the business
Any 2 disadvantages each

2(d) Ali and Sai

		Journal			
Date	Details	Debit	Credit		
		\$	\$		
	Interest on loan	500			
	Bank		500		

END OF ANSWER

5.3 Limited companies

Question 01 | May/June 2021 Paper 22 Question 3 - 20 marks

3(a) HV Limited

Income Statement for the year ended 31 March 2021			
	\$		\$
Revenue			145 000
Cost of sales			
Opening inventory	5 820		
Purchases	64 900		
	70 720		
Less Closing inventory	6 090		
			64 630
Gross profit			80 3700F
Less Expenses			
Rent and insurance (9 280 - (2/3 × 1 800))	8 080		
Wages (24 750 + 2 250)	27 000		
Operating expenses	8 500		
Depreciation of Fittings (20% × (200 000 - 72 000))	25 600	69 180	
Profit from operations			11 190
Debt interest			1 200
Profit for the year			9 9900F

3(b) HV Limited

Key point: Statement Changes Equity year ended 31 March 2021

Details	Ordinary share capital	General Reserve	Retained earnings	Total
	\$	\$	\$	\$
On 1 April 2020	70 000		21 500	91 500
Profit for the year			9 990	9 9900F
Dividend paid			(5 600)	(5 600)
Transfer to general reserve		2 000	(2 000)	
On 31 March 2021	70 000	2 000	23 890	95 8900F

3(c) 11190 OF 100

$$\text{Return on Capital employed} = \frac{(95\,890\text{ OF} + 30\,000)\text{ OF }1}{100} \times 100 = 8.89\% \text{ OF}$$

3(d) There is a fixed rate of dividend on preference shares: the dividend on ordinary shares may vary

Risk: higher risks rewards ordinary shares preference

Ordinary shares normally carry voting rights: preference shares do not

Key point: Ordinary shares part equity company Redeemable preference non current liability

non-redeemable preference shares are part of the equity.

Key point: company wound up preference shares repaid before ordinary after

preference shares

Key point: Preference shares receive dividend first ordinary after

Must be two contrasting statements

END OF ANSWER

Question 02 | May/June 2022 Paper 22 Question 5 - 20 marks

5(a) M Limited

Income Statement for the year ended 30 November 2021			
	\$		\$
Revenue			203 600
Less Cost of sales			
Opening inventory	12 945		
Purchases	143 750		
	156 695		
Less Closing inventory	12 830		
			143 865
Gross profit			59 7350F

Less Expenses		
Rent and rates (12 460 - [1/3 × 2 250])	11 710	
Operating expenses (12 920 + 415)	13 335	
Wages	24 380	
Depreciation of equipment ([40 000 - 17 500] × 25%)	5 625	
Provision for doubtful debts (9 800 × 4% = 392 - 295)	97	55 147
Profit for the year		4 5880F

5(b) M Limited

Key point: Statement Changes Equity year ended 30 November 2021

Details	Ordinary share capital \$	General Reserve \$	Retained earnings \$	Total \$
On 1 December 2020	20 000	3 000	2 037	25 037
Profit for the year			4 588	4 5880F
Dividend paid			(1 600)	(1 600)
Transfer to general reserve		1 000	(1 000)	
On 30 November 2021	20 000	4 000	4 025	28 0250F

5(c)

Liquid ratio workings

answer

$$(9\ 800 - 392 + 750 + 162) : (11\ 585 + 415) = 10\ 320 : 12\ 000$$

0.86:

5(d) Issuing further ordinary shares:

Decision point: Non current assets normally financed long term debt capital

Shareholders will expect a dividend
 If any dividend was paid liquidity would be reduced
 The shares would not need to be repaid
 Existing ordinary shareholders may lose control of the company
 Could take some time to raise the finance

Bank overdraft:
 Liability to bank ends when overdraft is cleared
 Bank can request repayment at very short notice
 Interest is payable until overdraft is cleared
 Interest must be paid even if overdraft limit is reached
 May find it difficult to repay the overdraft
 Bank may require security for the overdraft

Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2022 Paper 21 Question 4 - 20 marks

4(a) C Limited

Key point: Statement Changes Equity year ended 31 August 2022

Details	Share Capital \$	General reserve \$	Retained earnings \$	Total \$
On 1 September 2021	240 000	36 000	22 000	298 000 row
Profit for the year			20 000	20 000 row
Dividend paid (final)			(12 000)	(12 000) row
Dividend paid (interim)			(9 600)	(9 600)0F
Transfer to general reserve		11 000	(11 000) row	
On 31 August 2022	240 000	47 000	9 400	296 400 0F

row

4(b) 23 000 100

$$296\ 400\ 0F + 60\ 000 \div 1 = 6.45\% \text{ OF}$$

4(c)(i) 20 000 100

$$310\ 000 \div 1 \text{ whole formula} = 6.45\% \text{ OF}$$

4(c)(ii) Increase the gross margin

Reduce expenses
 Increase other income

4(d) Option 1 - issue debentures

Annual interest will have to be paid
 Interest has to be paid irrespective of profit
 Are a long term liability/must be repaid
 Are paid before ordinary shareholders in event of winding up

Debenture holders are not members of the company

Key point: Debenture holders require security claim non current assets case repayment

Option 2 - issue additional ordinary shares

Key point: consider all extra shares sold

Shareholders will expect to receive a dividend

Key point: Share dividend fixed depend level profits

Last to be paid in event of winding up

Key point: dilute current shareholders control Carry same voting rights existing

Recommendation

END OF ANSWER

Question 04 | May/June 2023 Paper 21 Question 5 - 20 marks

5(a) Calculation of retained earnings

	\$
Retained earnings at 1 April 2022	16 250 }
Profit for the year	43 500 }
	59 750
Less Dividend	(39 000)
Retained earnings at 31 March 2023	20 7500F

5(b) Q Limited

Statement of Financial Position at 31 March 2023			
	\$	\$	\$
Assets			
Non-current Assets	Cost	Provision For Depreciation	Net Book Value
Fittings and equipment	150 000	40 650	109 350 } for
Motor vehicles	72 000	31 125	40 875 } both lines
	222 000	71 775	150 225
Current Assets			
Inventory			51 790
Trade receivables		19 700	
Less Provision for doubtful debts		591	19 109
Bank			1 076
			71 9750F
Total assets			222 200
Equity and Liabilities			
Equity			
Ordinary share capital			120 000
Retained earnings			20 7500F
			140 750
Non-current Liabilities			
5% Debentures		40 000 }	
Bank Loan		10 000 }	50 000
Current Liabilities			
Trade payables			31 450
Total Equity and Liabilities			222 200

5(c) $(19\ 109\ 0F + 1\ 076) : 31\ 450\ 0F = 20\ 185\ 0F : 31\ 450\ 0F$ whole formula = 0.64 :

5(d)(i) Dividends paid

Increase in level of inventory
 Purchase of non-current assets
 Repayment of non-current liabilities
 Payment of trade payables/payment of a bank overdraft
 Delay in receiving payment from trade receivables

5(d)(ii) Issue ordinary shares

No interest payable
 No repayment required
 No need to provide security
 The directors can decide on the rate of dividend
 May dilute control/ownership
 Shareholders will expect a dividend
 May not be able to raise amount required
 Already have long-term liabilities to repay
 Obtain bank loan
 Repayment is required
 Once loan is repaid no further liability to bank
 Funds would need to be available when repayment is due
 Security will be required
 Interest will be charged

Key point: Bank willing lend substantial long term liabilities

Funds may be obtained more quickly than a share issue

Key point: company wound up loan must repaid before shareholders
for recommendation

END OF ANSWER

Question 05 | Oct/Nov 2023 Paper 21 Question 5 - 20 marks

5(a) B Limited

Income Statement for the year ended 30 June 2023		
	\$	\$
Revenue (135 040 - 9 240)		125 800
Less Expenses		
Wages and salaries	72 000	
Motor expenses	9 820	
Insurance (1/2 □ 7 220)+(1/2 □ 7 440)	7 320	
General expenses (12 780 + 186)	12 966	
Depreciation of motor vehicles (42 000 - 16 500) □ 25%	6 375	
Depreciation of equipment (5 000 □ 20%)	1 000	
Profit for the year		109 481
		16 3190F

5(b) B Limited

Key point: Statement Changes Equity year ended 30 June 2023

Details	Ordinary share capital \$	General Reserve \$	Retained earnings \$	Total \$
On 1 July 2022	10 000	2 000	13 490	25 490 row
Profit for the year			16 319	16 3190F row
Dividend paid			(4 800)	(4 800) row
Transfer to general reserve		1 000	(1 000)	 row
On 30 June 2023	10 000	3 000	24 009	37 0090F row

5(c)(i) The company provides a service rather than a product

The clients provide their own cleaning materials

5(c)(ii) There were no irrecoverable debts during the year/there are no irrecoverable trade receivables

Key point: few trade receivables represent week revenue

Some customers are paying in advance

5(d)

Issuing debentures	Issuing ordinary shares
Annual interest is payable	A dividend may be paid
Are a liability\are a loan\must be repaid	Do not have to be repaid
If company is wound up they are repaid before ordinary shareholders	If company is wound up they are repaid after debenture holders
Debenture holders are not members of the company/cannot vote	Shares will carry same voting rights/rank equally as existing shares
Issue of debentures will not dilute the control of the existing ordinary shareholders	May dilute control of existing shareholders (if some purchase a greater proportion of shares)
Interest is a fixed amount (and so can be budgeted for)	Dividend is not fixed (and may depend on profit levels)
Interest must be paid irrespective of profits	Directors they can decide on amount of dividend they will pay
May be secured on the non-current assets of the company	May take longer to raise the funds
Issue may not raise adequate funds	Issue may not raise adequate funds

Recommendation

END OF ANSWER

Question 06 | Oct/Nov 2024 Paper 22 Question 4 - 20 marks

4(a) Either - A public limited company is allowed to offer its shares to the public whereas a private limited company cannot.

Key point: public limited company publish financial statements whereas private

4(b) Issued share capital is the amount of share capital issued to the shareholders

Key point: Called up share capital part issued payment requested shareholders

4(c) Liability for the debts of the company is limited to the amount invested by the shareholder

Benefit: Separate legal identity action cannot taken against individual shareholders company

Access to additional capital / easier to obtain loans
Has continuity of existence

4(d)

Y Limited

Key point: Statement changes equity year ended 31 December 2023

	Ordinary Share Capital	General Reserve	Retained Earnings	Total
	\$	\$	\$	\$
On 1 January 2023	800 000	78 000	62 000	940 000
Profit for the year			118 500	118500*
Dividend paid (final)			(43 000)	(43000)
Dividend paid (interim)			(40 000)	(40000)
Transfer to general reserve		32 000	(32 000)	-
On 31 December 2023	800 000	110 000	65 500	975500F

Key point: 2 adjusted preference share dividends 1 \$126 000

4(e) Y Limited

Extract from Statement of financial position at 31 December 2023

Equity		\$	
Ordinary Shares		800 000	(OF)
General reserve*	110 000	(OF)	
Retained earnings		65 500	(OF)
*mark for inclusion of all items in correct order		975 500F	

4(f)

Issuing debentures

Annual interest is payable
Are a liability\are a loan\must be repaid
If company is wound up they are repaid before ordinary shareholders
Debenture holders are not members of the company/cannot vote
Issue of debentures will not dilute the control of the existing ordinary shareholders
Interest is a fixed amount (and so can be budgeted for)
Interest must be paid irrespective of profits
May be secured on the non-current assets of the company
Issue may not raise adequate funds

Recommendation

Issuing ordinary shares

A dividend may be paid
Do not have to be repaid
If company is wound up they are repaid after debenture holders
Shares will carry same voting rights/rank equally as existing shares
May dilute control of existing shareholders (if some purchase a greater proportion of shares)
Dividend is not fixed (and may depend on profit levels)
Directors can decide on amount of dividend they will pay
May take longer to raise the funds
Issue may not raise adequate funds

4(g) Non-current liabilities / Long-term-liabilities

END OF ANSWER

5.4 Clubs and societies

Question 01 | May/June 2021 Paper 22 Question 4 - 20 marks

4(a) RIA Music Club

Dr			Subscriptions account			Cr
Date	Details	\$	Date	Details	\$	
2020			2020			
Jan 1	Balance b/d	5 215	Jan 1	Balance b/d	1 200	
Dec 31	Income and expenditureOF	37 465	Dec 31	Bank	36 700	
	Balance c/d	1 050		Balance c/d		5 830
		43 730				43 730
2021			2021			
Jan 1	Balance b/d	5 830	Jan 1	Balance b/d	1 050	

4(b) RIA Music Club

Dr			Total shop trade payables account			Cr
Date	Details	\$	Date	Details	\$	
2020			2020			
Dec 31	Purchases returns	1 710	Jan 1	Balance b/d	4 275	
	BankOF	31 975	Dec 31	Purchases	34 200	
	Balance c/d	4 990		Interest	200	
		38 675				38 675
2021			2021			
Jan 1	Balance b/d		Jan 1	Balance b/d		4 990

4(c) Sales revenue = cost of sales + 20%

Risk: Cost sales 34 200 1 710 32 490

Key point: Sales revenue 32 490 20% 6 4980F 38 9880F

Alternative calculation

Cost of sales 32 490

Gross profit 20% 6 4980F

Sales revenue 38 9880F

4(d) Benefits of renting out the premises

Extra income would be generated by renting out the premises

Key point: Extra funds raised club fully used

May increase the opportunity to recruit new members

Benefit: increase levels shop trade additional customers profit

Or other relative benefits

Disadvantages

Income from existing members may fall/members may leave the club

The facilities to members may be reduced

Expenses may be increased

Alternatives to renting out the premises

Key point: Extra funds raised increasing subscriptions charging interest overdue fund raising

the mark-up on the sales of shop goods

Expenses may be reduced

Or other relative disadvantages/alternatives

Recommendation

END OF ANSWER

Question 02 | Oct/Nov 2021 Paper 21 Question 5 - 20 marks

5(a) VL Sports Club

Dr			Subscriptions account			Cr
Date	Details	\$	Date	Details	\$	
2020			2020			
Jan 1	Balance b/d	700	Jan 1	Balance b/d	1 100	
Dec 31	Income and expenditureOF	19 080	Dec 31	Bank	19 200	
	Balance c/d	900		Irrecoverable debts	80	
		20 680		Balance c/d		300
2021			2021			
Jan 1	Balance b/d	300	Jan 1	Balance b/d	900	
Dates						20 680

5(b) VL Sports Club

Key point: Income Expenditure year ended 31 December 2020

	\$	\$
Income		
Subscriptions		19 080F
Competition receipts	7 300	
cost of prizes	4 100	3 200
Dinner dance ticket sales	6 500	
costs	6 200	300
		22 580
Expenditure		
General expenses		
(11 500 - 400 + 500)	11 600	
Irrecoverable debt	80	
Depreciation of equipment		
(23 000 + 12 000 - 30 000)	5 000	16 680
Surplus for the year		5 900CF/OF

5(c) Advantages

Cash received earlier
 Reduced risk of irrecoverable subscriptions/reduced risk of subscriptions in arrears
 Reduction in administration costs
 May encourage new members to join

Disadvantages
 Less cash received
 Possible reduction in membership
 Difficulty of monitoring varying subscription rates
 Reduces the surplus for the year

Recommendation

END OF ANSWER

Question 03 | May/June 2022 Paper 21 Question 5 - 20 marks

5(a)(i) Sew and Soup Club

Dr			Subscriptions account			Cr		
Date	Details	\$	Date	Details	\$			
2021			2021					
Jan 1	Balance b/d	1 820	Jan 1	Balance b/d*	2 260			
Dec 31	Income and expenditure account	14 710	Dec 31	Bank	13 900			
	Balance c/d	1 745		Balance c/d	2 115			
		18 275			18 275			
2022			2022					
Jan 1	Balance b/d	2 115	Jan 1	Balance b/d	1 745			
* for both the opening balances + dates								

5(a)(ii) The amount received was less than the subscriptions due for the year

Subscriptions in advance have decreased
 Subscriptions in arrears have increased
 The treasurer should not be pleased with this situation

5(b) Calculation of profit on refreshments

	\$	\$
Revenue		17 650
Less Cost of sales		
Opening inventory	1 070	
Purchases (1 580 + 10 435 - 1 940)	10 075	
	11 145	
Closing inventory	1 130	10 015
Profit on refreshments		7 635OF

Alternative forms of presentation acceptable

5(c) Sew and Soup Club

Statement of financial position (extract) at 31 December 2022

Current assets	\$
Inventory	1 130
Other receivables (500 + 2115)	2 615
Bank	7 743
	11 480F

END OF ANSWER

Question 04 | May/June 2023 Paper 22 Question 3 - 20 marks

Dr			Subscriptions account				Cr
Date	Details		\$	Date	Details		\$
2022				2022			
Jan 1	Balance b/d		*468	Jan 1	Balance b/d	* 260	
Dec 31	Income & Expenditure			Dec 31	Bank	5356	
	Balance c/d		156		subscriptions written off		208
					Balance c/d		1040
2023			6864	2023			6864
Jan 1	Balance b/d	1040	Jan 1	Balance b/d	156		
* both balances b/d							
+ Correct dates including years							

Key point: Income Expenditure year ended 31 December 2022

		\$		\$
Subscriptions				6 2400F
Less expenses				
Rent	2 080	}		
General expenses	2 498	}		
Insurance (732 + 348 - 366)	714			
Subscriptions written off	208		5 500	
Surplus for the year				7400F

Only requires a small increase to raise \$400

May result in the club being run more efficiently

Against - increasing subscriptions

Against - increasing subscriptions
Increase in subscriptions may not be popular

Membership is already falling
May result in more subscriptions being written off
Subscriptions in arrears have increased from 2021 to 2022

Recommendation

OR accumulated surpluses less accumulated deficits of a club/society

END OF ANSWER

3(a) The Sporting Excellence Club

Dr				Subscriptions account				Cr	
Date		Details		\$	Date		Details		\$
2023					2023				
Jan 1	Balance b/d	480	Jan 1	Balance b/d	610				
Dec 31	Income and expenditure c/d	11 975	Dec 31	Bank/cash/cash book	11 950				
					Balance c/d				465
				13 025					13 025
2024					2024				
Jan 1	Balance b/d	*both	465	Jan 1	Balance b/d	*			570

+ dates

```
+ dates
```

Dr			Rent and insurance account				Cr
Date	Details		\$	Date	Details		\$
2023				2023			
Jan 1	Balance b/d	240	Dec 31	Income and expenditure	7 380		
Dec 31	Bank/cash/cash book	7 390		Balance c/d		250	
							7 630
2024							
Jan 1	Balance b/d	250					

Payments to trade payables	23 290
----------------------------	--------

Add Closing trade payables	2 470	*
	25 760	
Less Opening trade payables	2 140	* both
Purchases	23 620	0F

OR

Bank	23 290	Balance b/d	2 140
Balance c/d	2 470	Purchases *	23 620
	25 760		25 760

Bank
2 Balances
Purchases 0F

3(d) The Sporting Excellence Club

Shop income statement for the year ended 31 December 2023

Revenue	\$	\$	31 890
Cost of sales			
Opening inventory	2 500	*	
Purchases	23 620	0F	
Closing inventory	(2 750)	*	23 370
Gross profit			8 520
Shop wages			3 268
Profit on shop			5 252

* for both

3(e)(i) The accumulated fund of a club consists of the total surpluses less total deficits which have arisen over the life of the club.

3(e)(ii) The income and expenditure account of a club shows the surplus or deficit it has made, by deducting the expenses from its

gains/income.

END OF ANSWER

Question 06 | Oct/Nov 2024 Paper 22 Question 3 - 20 marks

3(a) Sports T

Café Income Statement
for the year ended 31 December 2023

Cafe sales	\$	\$	27 000
Cost of sales			
Opening inventory	1 290	*	
Purchases of food & drink	8 220		
	9 510		
Less Closing inventory	1 340	*	8 170
			18 830
Expenses			
Wages - café assistant			14 352
Profit for the year - cafe			4 478

* For both inventory figures

3(b)

Sports T club
Subscriptions account

Dr			Cr		
Date	Details	\$	Date	Details	\$
2023 Jan 1	Balance b/d	1 520	2023 Dec 31	Bank or Cash	162 000
Dec 31	Income & Expenditure Account	158 960			
	Balance c/d	2 800		Balance c/d	1 280
		163 280			163 280
2024 Jan 1	Balance b/d	*1 280	2024 Jan 1	Balance b/d	*2 800

for dates

*For both balances b/d

3(c)

Key point: Income expenditure year ended 31 December 2023

Sports T club

Income:	\$	\$
Profit from the cafe	4 478	0F
Subscriptions	158 960	0F
Bank interest	720	
		164 158
Expenditure		
Wages: Sports coaches	58 220	}

Administration salaries	31 720	}	
Rent (16 250 - 1250)	15 000		
Sports equipment hire	34 800		
Rates & insurance	3 200		
Accountancy fees	2 400	(145 340)	
Surplus for the year			18 8180F

END OF ANSWER

5.5 Manufacturing accounts

Question 01 | May/June 2021 Paper 21 Question 3 - 20 marks

3(a) TC Limited

Dr			Rent and rates account			Cr		
Date	Details	\$	Date	Details	\$			
2021			2021					
Jan 31	Total to date	19 620	Jan 31	Manufacturing account	9 485			
	Balance c/d (rates)	550		Income statement	9 485			
				Balance c/d (rent)		1 200		
						20 170		
Feb 1	Balance b/d (rent)	1 200	Feb 1	Balance b/d (rates)	550			

3(b) TC Limited

Manufacturing Account for the year ended 31 January 2021		
	\$	\$
Cost of material consumed		7 500
Opening inventory of raw material		
Purchases of raw material	91 400	
Carriage inwards	6 280	
		105 180
Less Closing inventory of raw material		8 000
		97 180
Direct wages		52 000
Prime cost		149 180 OF
Factory overheads		
Wages of factory supervisor	23 100	
Rent and rates	9 485 OF	
Insurance (75% × 4 600)	3 450	
General expenses	4 200	
Depreciation of factory equipment		
(90 000 - 30 960) × 20%	11 808	52 043
		201 223 OF
Add opening work-in-progress		11 220 *
		212 443
Less closing work-in-progress		11 900 *
Cost of production		200 543 OF

* for both opening and closing work-in-progress

3(c) Advantages

Decision point: apply principle consistency non current assets depreciated

Risk: apply principle matching spread cost expected useful life Risk: non current assets depreciated they lose value useful life

(Max 2)

Disadvantages

The cost of the items may not be material
The amount of depreciation would be insignificant
The items may not last more than one year

(Max 2)

Recommendation

END OF ANSWER

Question 02 | Oct/Nov 2021 Paper 22 Question 3 - 20 marks

3(a) KA Limited

Manufacturing Account for the year ended 31 July 2021		
	\$	\$
Cost of material consumed		
Opening inventory raw material		5 820
Purchases raw material		34 200
Carriage inwards		410
		40 430
Closing inventory raw material		6 030
		34 400
Direct wages		67 200
Prime cost		101 600 OF
Factory overheads		
Indirect factory wages	24 000	
Factory general overheads (16 400 + 230)	16 630	
Rates (5300 - 500) × 75%	3 600	
Depreciation of factory machinery		
(36 000 × 20%)	7 200	51 430

Add opening work in progress	153 030 OF	
	1 750	*
	154 780	
Less closing work in progress	2 780*	for both WIP
Cost of production	152 000 OF	

3(b) KA Limited

Key point: Income Statement Trading section year ended 31 July 2021

	\$		\$
Revenue			223 000
Less Cost of sales			
Opening inventory finished goods	12 360	*	
Cost of production	152 000 OF		
Purchases of finished goods	3 900	}	
Carriage inwards	80	}	
	168 340		
Less Closing inventory finished goods	10 340	* both	
			158 000
Gross profit			65 000 OF

3(c) KA Limited

Journal			
Details	Debit	Credit	
	\$	\$	
Irrecoverable debts	350		
DH Limited		350	

3(d)(i) The amount of sales for which the business is unlikely to be paid is regarded as an expense of the year in which those

sales are made

3(d)(ii) The profit for the year is not overstated and the amount of trade receivables is shown at a realistic level in the statement

END OF ANSWER

Question 03 | Feb/Mar 2022 Paper 22 Question 3 - 20 marks

3(a) Pari

Manufacturing Account for the year ended 31 December 2021

Cost of material consumed	\$	\$
Opening inventory of raw materials		6 100
Purchases of raw materials		84 200
		90 300
Less Closing inventory of raw materials		6 840
		83 460
Direct wages		33 000
Prime cost		116 460 OF
Factory overheads		
Wages of factory supervisor	26 000}	
Rates and insurance (14 000 ÷ 2)	7 000}	
General expenses (11 500 + 500)	12 000	
Depreciation of factory equipment (100 000 - 36 000) × 20%	12 800	57 800
		174 260 OF
Add opening work-in-progress		9 420 *
		183 680
Less closing work-in-progress		9 885 *
Cost of production		173 795 OF
* for both inventories of work in progress		

3(b) Pari

Key point: Income Statement trading section year ended 31 December 2021

	\$	\$
Revenue		230 020
Cost of sales		
Opening inventory of finished goods	11 350 *	
Cost of production	173 795 OF	
	185 145	
Less Closing inventory of finished goods	12 630 *	172 515 OF
Gross profit		57 505 OF
* for both inventories of finished goods		

3(c) 100

$$\text{Gross margin} = \frac{57\,505\text{ OF}}{230\,020} \times 100 = 25.00\% \text{ OF}$$

3(d)

Advantages	Disadvantages
May be cheaper to buy rather than to make	May be cheaper to make rather than to buy
If could buy at lower cost than making gross margin/gross profit would improve	If could make at lower cost than making gross margin/gross profit would improve
Would have more time for other business functions e.g. marketing	
Accounting records would be simpler	Cost of purchased finished goods may increase in the future
	Depend on supplier for regular supplies
	Depend on supplier for quality
	Depend on supplier for required quantity
	May lose customer loyalty
	May be difficult to start production again once stopped
Advantages Max	Disadvantages Max
Recommendation	

END OF ANSWER

Question 04 | May/June 2023 Paper 21 Question 4 - 20 marks

4(a) Salman

Manufacturing Account for the year ended 30 April 2023		
	\$	\$
Cost of material consumed		
Opening inventory of raw material		8 190
Purchases of raw material		78 420
		86 610
		8 000
Less Closing inventory of raw material		78 610
Direct wages		52 396
Prime cost		131 0060F
Factory overheads		
Wages of factory supervisor	27 500	
Rates and insurance (17 528 × 3/4)	13 146	
Factory electricity (11 442 + 1 048)	12 490	
General expenses	8 244	
Depreciation of factory equipment (90 000 - 43 920) × 20%	9 216	70 596
		201 6020F
Add opening work-in-progress		15 200 *
		216 802
Less closing work-in-progress		16 100 *
Cost of production		200 7020F

* for both opening and closing work-in-progress

4(b) Salman

Key point: Income statement trading section year ended 30 April 2023

	\$	\$
Revenue		435 1740F
Cost of sales		
Opening inventory	23 860	
Cost of production	200 7020F	
Purchases of finished goods	90 144	
	314 706	
Closing inventory	24 590	290 1160F
Gross profit		145 0580F

4(c) Advantages of converting office space

Will be more profitable use of space/increase output
 Manufacturing appears to be profitable
 May not need to purchase finished goods

Key point: high bank balance help pay conversion

Disadvantages of converting office space
 May not be able to sell the extra output
 Conversion of office space may be costly
 May have to purchase additional factory equipment

Key point: appropriate profitable use funds things

The space is necessary for office purposes

for recommendation

END OF ANSWER

Question 05 | Oct/Nov 2023 Paper 21 Question 2 - 20 marks

2(a) Hilary 11

Manufacturing Account for the year ended 31 July 2023			
	\$		\$
Cost of material consumed			
Opening inventory of raw material			9 100
Purchases of raw material	110 000		
Less Purchases returns	2 200		107 800
			116 900
Less Closing inventory of raw material			9 980
			106 920
Direct wages			91 665
Prime cost			198 5850F
Factory overheads			
Wages of factory supervisor	29 000		
Heat, light and power (11 600 $\times$ 4/5)	9 280		
Rates and insurance (8 250 - [5/12 $\times$ 4 440]) $\times$ 3/5	3 840		
Factory repairs and renewals (5 125 + 644)	5 769		
Depreciation of factory equipment (124 000 - 35 500) $\times$ 25%	22 125		70 014
			268 5990F
Add opening work-in-progress			21 357 *
			289 956
Less closing work-in-progress			22 446 * both W in P
Cost of production			267 5100F

2(b) \$ \$ \$

Revenue			457 250
Cost of sales			
Opening inventory		24 235 *	
Cost of production		267 5100F	
Purchases of finished goods	23 500 }		
Less Purchases returns	4 700 }	18 800	
		310 545	
Less Closing inventory		25 110 *Both	285 435
Gross profit			171 8150F

2(c) Advantages of stopping buying in finished goods

Key point: dependent supplier ensuring continuity supplies goods control produce own Key point: control quality goods produced own factory

Would have more control over cost
May be more profitable/cheaper to produce and sell own goods

Risk: all manufacturing costs increase proportion production Key point: Currently high proportion purchases finished goods returned

Disadvantages of stopping buying in finished goods
Increase in factory running costs/cost of production
May need to purchase additional machinery

Benefit: able increase factory capacity enough meet demand Benefit: able meet increase demand falls surplus capacity increased inventory

Quality of goods purchased may be inferior
Recommendation

END OF ANSWER

Question 06 | Oct/Nov 2023 Paper 22 Question 2 - 20 marks

2(a) Sara 11

Manufacturing Account for the year ended 30 September 2023			
	\$		\$
Cost of material consumed			
Opening inventory of raw material			4 875
Purchases of raw material			56 400
			61 275
Less Closing inventory of raw material			5 110
			56 165
Direct wages			43 300
Prime cost			99 4650F
Factory overheads			
Wages of factory supervisor	25 000		

Rates and insurance (29 600 - 6 000) /2	11 800F	
General factory expenses (9 650 + 335)	9 985	
Depreciation of factory machinery (80 000 - 35 000) 45 000 x 25%	11 250	58 035
		157 500F
Add opening work-in-progress		8 125*
		165 625
Less closing work-in-progress		7 365 * for both W in P
Cost of production		158 2600F

2(b) Sara

Key point: Statement financial position Current assets section 30 September 2023

Current Assets	\$
Inventory - Raw materials	5 110 }
- Work-in-progress	7 365 }
- Finished goods	13 725 }
	26 200
Trade receivables	27 000}
Other receivables	6 000}
Cash at bank	1 050}
	60 2500F

2(c) Money measurement

2(d) Advantages of supplying drama school

Will increase sales / revenue
May raise profit
The extra work will provide security/continuity of workload
If successful, potential to supply other schools, theatre groups, etc.

Disadvantages of supplying drama school

Risk: extra administration incur additional costs wages production

More manufacturing and/or storage capacity may be required

Key point: capacity supply existing customers drama group

Recommendation

END OF ANSWER

Question 07 | May/June 2024 Paper 23 Question 2 - 28 marks

2(a) Toyah

Manufacturing Account for the year ended 31 January 2024

	\$	\$
Cost of material consumed		
Opening inventory of raw material		12 400
Purchases of raw material		143 000
		155 400
Less Closing inventory of raw material		11 205
		144 195
Direct wages		51 000
Prime cost		195 1950F
Factory overheads		
Wages of factory supervisor	19 000	
Factory electricity	16 000	
Rates and insurance (16 200 x 2/3)	10 800	
General factory expenses (6 155 + 235)	6 390	
Depreciation of factory machinery (120 000 - 52 500) x 25%	16 875	69 065
		264 2600F
Add Opening work-in-progress		16 970 *
		281 230
Less Closing work-in-progress		17 682 * for both
Cost of production		263 5480F

2(b) Toyah

Key point: Income statement trading section year ended 31 January 2024

	\$	\$
Revenue		390 100
Cost of sales		
Opening inventory	14 825 *	
Cost of production	263 5480F	
	278 373	
Closing inventory	13 480 * for both	264 8930F
Gross profit		125 2070F

2(c) \$263 548 OF

= \$380F per dolls' house (rounded up to nearest dollar)

6 936

2(d) For:

Decision point: Sales discounted inventory profitable make profit raise profit margin Benefit: Selling extra inventory increase total sales customers revenue

Completed inventory may be turned into cash quickly

Risk: Her own inventory finished goods decreased scope sell additional

Against:

Does not have enough money to buy the inventory

If have to borrow money will incur interest charges

It may incur extra storage costs

Key point: able sell inventory unpopular inferior quality

May increase selling costs

Recommendation

END OF ANSWER

5.6 Incomplete records

Question 01 | May/June 2022 Paper 22 Question 2 - 20 marks

2(a) Stalla

Dr			Bank account			Cr		
Date	Details	\$	Date	Details	\$			
2022			2022					
Mar 31	Total receipts	49 000	Mar 31	Total payments	38 870			
				Drawings	7 800			
				Balance c/d			2 330	
								49 000
Apr 1	Balance b/d	2 330						

2(b) \$

Drawings - goods	3 375	100/125	2 700
Drawings - cash			7 800
Total drawings			10 500

2(c) Stalla

Statement of Affairs at 31 March 2022

	\$	\$
Non-current assets		
Fixtures and fittings at book value		10 800
Current assets		
Inventory	2 150	
Other receivables	500	
Bank	2 330	4 980
Total assets		15 780
Capital and liabilities		
Capital (balancing figure)		8 905
Non-current liabilities		
Loan		5 000
Current liabilities		
Trade payables		1 875
Total capital and liabilities		15 780

2(d) \$

Closing capital	8 905
Drawings	10 500
	19 405
Capital introduced	(8 000)
Profit for the year	11 405

2(e) For

Competitors may Also valid: credit terms
May increase sales if offer credit terms
May improve relationship with customers

Key point: ensure cash received time cash discount offered

Against
She should obtain credit references for new and existing customers
Payment is not received at time of sale

Risk: customers pay later she face cash flow liquidity problems

Risk of irrecoverable debts

.

Recommendation

END OF ANSWER

Question 02 | May/June 2023 Paper 22 Question 5 - 20 marks

5(a) Amadi

Corrected Trial balance at 31 March 2023

	\$	\$
Fittings and equipment at cost	30 000	}
Provision for depreciation of fittings and equipment		7 500 }
Trade receivables	6 100	
Bank overdraft		3 106
Trade payables		3 485

Capital		20 000	
Sales		73 250	
Purchases	41 785		}
Discount received		1 990	}
Returns inwards	3 390		
Carriage inwards	1 223		
General expenses	6 430		
Rent and rates	7 380		
Drawings	9 500		
Inventory	3 752		
Suspense		2290F	
	109 560	109 560	both

5(b) Amadi

Dr			Suspense account			Cr
Date	Details		Date	Details		\$
2023			2023			
Mar 31	Rent and rates		31	Trial balance	difference	229
	Drawings	165		General expenses	200	
	Discount received					
		165				
						429

5(c) Amadi

Key point: Income statement trading section year ended 31 March 2023

	\$	\$
Revenue		73 250
Less returns inwards	3 390	
		69 860
Less Cost of sales		
Opening inventory	3 752	
Purchases	41 785	
Carriage inwards	1 223	
	46 760	
Less Closing inventory	(3 965)	42 7950F
Gross profit		27 0650F

5(d)

	Gross profit margin	
	workings	answer
27 065 0F		
69 860 0F	□ 100 0F whole formula	38.74%0F

5(e) Businesses in the same trade would be expected to have similar gross profit margins

The profit margins will vary because -

Risk: Hector owns his own premises he pay rent repair maintenance costs

Or Amadi has to pay rent

Conclusion

END OF ANSWER

Question 03 | May/June 2024 Paper 21 Question 5 - 20 marks

5(a) \$

		\$	\$
Payments to credit suppliers	34 250	Bank	34 250
Add closing credit suppliers	2 960	Purchases	37 210
Credit purchases	37 210		
Cash purchases	37 210 0F	Balance c/d	2 960
Total purchases	74 4200F		37 210
		Credit purchases	37 210
		Cash purchases	37 210 0F
		Total purchases	74 4200F

5(b) Stella

Income statement for the year ended 31 March 2024

Sales	\$	\$	
Less Cost of sales		89 7600F	(132%)
Purchases	74 420 0F		
Less Closing inventory	6 420	68 0000F	(100%)
Gross profit		21 7600F	(32%)
Less Rent and insurance			

(6 750 - 600 - 500)	5 650	
Wages (8 300 + 300)	8 600	
Other expenses (1 815 - (120/3))	1 775	16 025
Profit for the year		5 7350F

5(c) For:

Should increase sales/attract more customers
Should lead to higher profit/higher profit margin
Competitors may Also valid: credit sales/may help Stella to compete
Increase monthly sales to generate growth

Against:
Money would come into the business more slowly
Liquidity may be reduced
Irrecoverable debts can occur
Increased bookkeeping/a sales ledger would be required
Credit control may be required

Recommendation

5(d)(i) Materiality

5(d)(ii) Time and cost of recording small items outweigh the benefits of treating them as non-current assets

Risk: Depreciation need calculated charged low value non current assets

5(e) Full details of the assets, liabilities, revenues and expenses are available

The preparation of financial statements is more straightforward

Key point: calculation profit loss year likely reliable

More informed decision-making is possible

Key point: greater degree control activities exercised

The possibility of fraud is reduced

Key point: Comparisons results previous years businesses

Detailed records are available for reference

Key point: Information required bank lender readily available

END OF ANSWER

Question 04 | May/June 2024 Paper 22 Question 1 - 12 marks

1(a) $(\$21 + \$47 + \$44) - \$15 = \$970F$

1(b)(i) cash book

sales journal
sales returns journal
purchases journal
purchases returns journal
journal / general journal

1(b)(ii) Useful for preparing control accounts

Assist in collating and summarising accounting information
Remove detail from the ledgers
Bookkeeping can be divided among several people

1(c)(i) Depreciation for the year ended 30 April 2022 12 000 $\square$ 25% 3 000 }

Depreciation for the year ended 30 April 2023 (12 000 - 3 000) 9 000 $\square$ 25% 2 250 }
Accumulated depreciation at 30 April 2024 5 2500F

1(c)(ii) Lottie

Dr			Disposal of motor vehicle account			Cr	
Date	Details	\$	Date	Details	\$		
2024			2024				
Apr 30	Motor vehicles	12 000	Apr 30	Provision for depreciation OF Y Limited	5 250		
				Income statement OF	750		
		12 000					12 000

1(d)

Item	Valuation per unit	Number of items	Total valuation
	\$		\$
A	(14 + 1 =) 15	60	900
B	17	85	1 445
C	22	30	660
			3 0050F

1(e) Lottie

Dr			Insurance account			Cr	
Date	Details	\$	Date	Details	\$		
2023			2024				
May 1	Balance b/d }	60	Apr 30	Income statement	360		
Aug 1	Bank }	360		Balance c/d		60	
		420					420
2024							
May 1	Balance b/d OF	60					

dates

END OF ANSWER

Question 05 | May/June 2024 Paper 22 Question 2 - 28 marks

2(a) Toyah

Manufacturing Account for the year ended 31 January 2024

	\$	\$
Cost of material consumed		
Opening inventory of raw material		12 400
Purchases of raw material		143 000
		155 400
Less Closing inventory of raw material		11 205
		144 195
Direct wages		51 000
Prime cost		195 1950F
Factory overheads		
Wages of factory supervisor	19 000	
Factory electricity	16 000	
Rates and insurance (16 200 ÷ 2/3)	10 800	
General factory expenses (6 155 + 235)	6 390	
Depreciation of factory machinery (120 000 - 52 500) ÷ 25%	16 875	69 065
		264 2600F
Add Opening work-in-progress		16 970 *
		281 230
Less Closing work-in-progress		17 682 * for both
Cost of production		263 5480F

2(b) Toyah

Key point: Income statement trading section year ended 31 January 2024

	\$	\$
Revenue		390 100
Cost of sales		
Opening inventory	14 825 *	
Cost of production	263 5480F	
	278 373	
Closing inventory	13 480 * for both	264 8930F
Gross profit		125 2070F

2(c) \$263 548 OF

= \$380F per dolls' house (rounded up to nearest dollar)

6 936

2(d) For:

Decision point: Sales discounted inventory profitable make profit raise profit margin Benefit: Selling extra inventory increase total sales customers revenue

Completed inventory may be turned into cash quickly

Risk: Her own inventory finished goods decreased scope sell additional

Against:

Does not have enough money to buy the inventory
If have to borrow money will incur interest charges
It may incur extra storage costs

Key point: able sell inventory unpopular inferior quality

May increase selling costs

Recommendation

END OF ANSWER

Question 06 | May/June 2024 Paper 22 Question 3 - 20 marks

3(a)(i) Bank statement

3(a)(ii) Error 4

3(b) Akil

Error number	Journal Details	Debit \$	Credit \$
1	Sales returns Sales	3 416	3 416
2	Insurance (115 × 2) Suspense	230	230
3	Discount received Discount allowed Suspense	47 47	94

3(c)(i) Shows that all the errors have not yet been found/corrected

3(c)(ii) Akil

Dr			Suspense account			Cr	
Date	Details		\$	Date	Details	\$	
2024				2024			
Feb 29	Difference on Trial balance			Feb 29	Insurance	230	
	Purchases	90	385		Discount received		47
			Discount		Discount allowed		
					Balance c/d		47
March 1 Balance	b/d OF	151					151
							475

3(d) \$ \$ \$

	Plus	Minus	
Original draft profit			17 420
Error 4	52		
Error 5	90		
Error 2		230	
Error 3		94	
	142	324	(182)
Draft profit after corrections			17 238 OF

END OF ANSWER

Question 07 | May/June 2024 Paper 22 Question 5 - 20 marks

5(a) Gross margin: 11

Risk: Cost sales 5 200 51 300 6 500 50 000
 Gross profit 97 000 - 50 000 = 47 000
 $\frac{47\ 000}{97\ 000} = 48.45\%$
 Gross margin = 48.45%
 Profit margin:
 Profit 47 000 OF - 23 750 = 23 250
 $\frac{23\ 250}{97\ 000\ CF} = 23.97\%$
 Profit margin = 23.97% OF
 Inventory turnover:
 $\frac{5\ 200 \times 6\ 500}{2 \times 5850} = 8.55\ \text{times OF}$
 Trade receivables turnover
 $\frac{9\ 550}{86\ 400} \times 365 = 41\ \text{days OF}$
 Liquid (acid test) ratio
 Key point: 9 550 1 200 6 000 whole formula 79

5(b)(i) His purchase price has fallen / he has been allowed trade discount

His sales mix has changed

5(b)(ii) Whether Ajay will be able to continue in business / continue being able to supply them

5(c) Advantages

Should increase sales / attract new customers
 May raise profit for the year
 Should increase rate of inventory turnover
 Reduces risk of inventory deteriorating / becoming damaged / obsolete
 Reduces cost of holding inventory (storage, insurance)
 May improve his reputation

Disadvantages

Risk: reduce gross margin profit profit year profit margins make loss Risk: money coming unit sold liquidity reduced
Key point: Customers question quality goods damage his reputation Key point: Customers unwilling pay full price
future Risk: better offer cash discount reduce trade receivables

Recommendation

5(d) May result in loss if expenses continue to increase

Benefit: He able pay expenses suppliers wages they continue increase

The business cannot continue indefinitely if this trend continues.

END OF ANSWER

Question 08 | Oct/Nov 2024 Paper 21 Question 1 - 20 marks

1(a) Jenny

Dr		Cash Book - bank columns				Cr
Date	Details	\$	Date	Details	\$	
2024			2024			
Mar 1	M Stores 1 900 Mar 1	1 933				
	Interest received 358			C Stores (dis. chq) 1 121		
	Drawings/Correction of error 45			Bank charges }	125	
	Balance c/d			} 290		
		Electricity 1 166				
		3 469			3 469	
			2024			
			Mar 1	Balance b/dOF	1 166	

1(b) Jenny

Bank reconciliation statement at 29 February 2024

	\$	\$
Balance on bank statement		1 367
Amounts not yet credited		
Cheque - Y Traders		792
		2 159
Amounts not presented		
Cheque - B Properties	1 025	
Credit transfer - Rent and insurance	2 300	3 325
Balance in cash book		(1 166)OF
Alternative presentation		
	\$	\$
Balance in cash book		(1 166)OF
Amounts not presented		
Cheque - B Properties	1 025	
Credit transfer - Rent and insurance	2 300	3 325
		2 159
Amounts not yet credited		
Cheque - Y Traders		(792)
Balance on bank statement		1 367

1(c) An accurate bank balance is available

- Errors on bank statement can be identified
- Errors in the bank account can be identified
- Assists with discovering fraud and embezzlement
- Cheques not presented can be identified
- Amounts not credited by the bank can be identified
- Any stale (out of date) cheques can be identified

Any 2 advantages each

1(d) It is an asset to the bank/it is money owed to the bank

1(e) Advantages

Improves bank balance/ strengthen liquidity
Money available to run the business/pay trade payables/business expenses
Reduces interest/bank charges from bank
Improves relationship with bank
Any other valid points

Disadvantages

- Lack of funds for own personal use
- May not have sufficient personal funds available
- May have to obtain a personal loan

Risk: lose interest investments they withdrawn

More personal funds at risk

Recommendation

END OF ANSWER

Question 09 | Oct/Nov 2024 Paper 21 Question 3 - 20 marks

3(a) Natalie

Error number	Details	Journal	Debit \$	Credit \$
1	Suspense Sarah 420			420
2	Motor vehicles Vehicle maintenance Capital 14 000	{ {	7 000 7 000	
3	Purchases Suspense 63	63		
4	General expenses Bank 126	126		
5	Drawings Cash 400	400		

3(b) Natalie

Dr			Suspense account			Cr	
Date	Details	\$	Date	Details	\$		
2024 Mar 31	Sarah 420		2024 Mar 31	Difference on trial			
				balance	357		
				Purchases 63			
						420	

3(c)

Error Number	Error type
Error 4	Omission
Error 5	Complete reversal

3(d)

Error Number	Effect on profit		
	decrease	increase	no effect
Error 1			☐
Error 2	☐		
Error 3	☐		
Error 4	☐		
Error 5			☐

END OF ANSWER

Question 10 | Oct/Nov 2024 Paper 21 Question 4 - 20 marks

4(a) \$ \$

Cost of vehicles at start	440 000	
Add Cost of new vehicles	70 000	510 000
Less Cost of vehicle sold		28 000
Cost of vehicles held at year end		482 000

Key point: Depreciation year 482 000 20% 96 400

4(b) Delivery vehicles account

Dr			Cr		
Date	Details	\$	Date	Details	\$
2023 Jan 1	Balance b/d	440 000	2023 Nov 30	Disposal	28 000
Apr 1	L Autos 70 000				482 000
					510 000
		510 000			
2024 Jan 1	Balance b/d	482 000			
Dr			Provision for depreciation of delivery vehicles account		
Date	Details	\$	Date	Details	\$
2023 Nov 30	Disposal	16 800	2023 Jan 1	Balance b/d	270 000
Dec 31	Balance c/d	349 600	Dec 31	Income statement	96 400
		366 400			366 400

			2024			
			Jan 1	Balance b/d	***OF boths	349 600
Dr	Disposal of delivery vehicle account					Cr
Date	Details		\$	Date	Details	\$
2023				2023		
Nov 30	Delivery vehicles	28 000	Nov 30	Prov. for depreciation	16 800	
				Bank	10 500	
				Income statement	700	
		28 000				28 000

dates

4(c) Advantages

Application of the matching principle
Vehicles would be valued at a more realistic/accurate figure

Key point: reflect estimate loss value vehicles accurately depreciation reliable Risk: Appropriate vehicles they lose value greater benefits gained early years

Total depreciation/annual depreciation charge will be lower

Disadvantages

Key point: difficult calculate depreciation need recalculate year

The depreciation charge is higher in the early years
Changing methods is against the consistency principle
Changing methods makes comparisons between years more difficult
Non-current asset may be overvalued

Recommendation

4(d)

Non-current asset	Straight line	Revaluation	No depreciation
Land			□
Fixtures & fittings	□		
Loose tools		□	

END OF ANSWER

Question 11 | Oct/Nov 2024 Paper 21 Question 5 - 20 marks

5(a) G Limited

Manufacturing account for the year ended 31 March 2024

	\$	\$
Cost of materials consumed		
Opening inventory of raw materials		18 200
Purchases of raw materials		68 000
		86 200
Less Closing inventory of raw materials		19 280
		66 920
Direct wages		183 700
Royalties		3 240
Prime cost		253 8600F
Factory overheads		
Wages of factory supervisor	47 200 }	
Factory general expenses	20 250 }	
Factory rates and insurance		
(7 100 + 620) □ 60%	4 632	
Depreciation of factory machinery		
(247 000 - 51 500) □ 15%	29 325	101 407
		355 2670F
Add Opening work in progress		23 400 *
		378 667
Less Closing work in progress		22 650 * both W in P
Cost of production		356 0170F

5(b) G Limited

Key point: Income Statement Trading section year ended 31 March 2024

	\$	\$	\$
Revenue			523 9080F
Less Cost of sales			
Opening inventory finished goods		6 820	
Cost of production		356 0170F	
Purchases of finished goods	32 413 }		
Carriage inwards on finished goods	2 180 }	34 593	
		397 430	
Less Closing inventory of finished goods		9 350	388 0800F
Gross Profit			135 8280F

5(c) Advantages

Better trained staff

Risk: Improved debt collection period reduce trade receivables turnover money received credit

quickly/improved cash flow
Improved credit control
Risk of irrecoverable debts reduced
Only have to pay fee once but benefits should continue

Disadvantages

Fee charged by consultant/cannot afford the fee
May damage relationship with customers
May be reduction in sales
New procedures are not guaranteed to generate improvements
No time to train staff
Additional costs may be incurred

Recommendation

END OF ANSWER

Question 12 | Oct/Nov 2024 Paper 22 Question 1 - 20 marks

1(a) 13

				Kalima Cash book					
Date Details		Discount	Cash	Bank	Date Details		Discount	Cash	Bank
		t					Receive		
2024		\$	\$	\$	2024		\$	\$	\$
Sept 1	Balance b/d		240		Sept 1	Balance b/d			890
3	Sales		478		2	Stationery	82		
14	Elizah	13		507	3	Badr			30
16	Cash			120	5	Wages		1 390	
					10	Drawings			150
					16	Bank		120	
					21	Gulnar	4		196
30	Balance c/d			2 029	30	Balance c/d		516	
		13	718	2 656			4	718	2 6560
Oct 1	Balance b/d		5160F		Oct 1	Balance b/d	2 0290F		

for dates *For totalling dr and cr columns

1(b) Bank overdraft

1(c) Kalima

			Elizah Account		
Date	Details	Amount	Date	Details	Amount
2024		\$	2024		\$
Sept 1	Balance b/d	520	Sept 14	Bank	5070F
23	Sales	1 450		Discount allowed	130F
			29	Sales returns	325
			30	Balance c/d	1 125
		1 970			1 970
Oct 1	Balance b/d	1 1250F			

1(d) Current Assets

END OF ANSWER

Question 13 | Oct/Nov 2024 Paper 22 Question 2 - 20 marks

2(a)

Key point: 140 000 92 10 24 600

Capital at 1 April 2023

Workings

+39 600 - 24 750 -3 200 +1 650

Answer \$

259 900

2(b)	Capital at 31 March 2024	140 000 +106 000 - 36 000 + 42 000 +	289 900
		43 400 -19 700 +13 000 +1 200	
		Added to opening capital	Deducted from opening capital
		\$	\$
	Capital at 1 April 2023		259 900
	Capital Introduced	10 000	
	Profit for the year	20 620	0F
	Drawings		620
	Total adjustments	30 620	620
			30 000
	Capital at 31 March 2024		289 9000F*
	* For both opening and closing capital figures		

2(c)(i) Either

		\$	
	Payments to credit suppliers	224 700	
	Add closing trade payables	19 700 *	
		244 400	
	Less opening trade payables	(24 750) *	both opening & closing figures
		219 650	
	Less drawings	(620)	
		219 0300F	
Or			
		Balance b/d	24 750 *
	Bank	224 700	Drawings
	Balance c/d	19 700 *	219 0300F
		244 400	Purchases
			244 400

2(c)(ii) Either

		\$	
	Payments received from credit customers	452 000	
	Add closing trade receivables	43 400	
		495 400	
	Less opening trade receivables	(39 600) *	both opening & closing figures
	Total credit sales	455 800	
	Cash Sales	21 000	
	Total sales for the year	476 800 0F	
Or			
	Balance b/d	39 600 *	Bank
	Sales	476 8000F	Cash sales
			21 000
			Balance c/d
			43 400 *
		516 400	516 400

2(d) Advantages

Preparation of financial statements would be quicker / easier

Key point: Better control activities able track transactions income expenses

Chances of fraud reduced / errors may be reduced
 Comparison with previous years / aids decision making
 Information required by a bank/investor readily available
 Also valid: Ben time to concentrate on other business activities

Disadvantages

Salary of book-keeper to pay

Risk: Profit adequate cover cost employing book keeper

Additional costs on top of salary paid.
 Problems of recruiting suitable / trained candidate

Recommendation

2(e)(i) Prudence

Or Matching / accruals

2(e)(ii)	Profit for the year	Trade receivables	Cash at bank
	Increase		
	Decrease	□	□ for both
	No effect		□

END OF ANSWER

Question 14 | Oct/Nov 2024 Paper 22 Question 5 - 20 marks

5(a)	Ratio	Workings	Answer
	Inventory turnover (correct to 2 decimal places)	$\frac{24\,074 + 278\,429 - 25\,600}{(24\,074 + 25\,600) / 2}$ $\frac{276\,903}{24\,837}$	11.15 times
	Trade receivables turnover (round up your answer to the nearest whole day)	$\frac{42\,375 \times 365}{392\,600}$	40 days
	Trade payables turnover (round up your answer to the nearest whole day)	$\frac{21\,603 \times 365}{278\,429}$	29 days

5(b) Advantages

Reduced administration - debt collection company will manage debt collection

Key point: Owner spend time areas Benefit: Money received credit customers quicker improved cashflow liquidity trade receivables turnover

improve
Reduced risk of irrecoverable debts
Reduced need to borrow to finance working capital

Disadvantages
Cost/fees of debt collection company
May damage relationship with customer
Credit sales may reduce

Key point: Maybe lack communication between agency owner effective improving debt collection

Recommendation

5(c) Improve credit control policy

Issue regular statements & invoices
Offer cash discount for prompt payment
Charge interest on overdue accounts

5(d)(i) Reduce cost of purchases

Increase selling price
Changing the proportions of types of goods sold

5(d)(ii) Improve gross profit

Control / reduce overall expenses
Increasing other income

5(e)(i) Azim

	Details	Journal	Debit \$	Credit \$
	Drawings		340	
	Purchases			340
5(e)(ii)	increase	decrease		no effect
	gross profit			
	closing capital			

END OF ANSWER

Question 15 | Feb/Mar 2025 Paper 22 Question 1 - 20 marks**1(a) Ria**

Date	Details	Purchases journal	\$
2025			
Jan 13	Ottie (180 - 9)		171
18	Nakir		528}
23	Darena		310}
31	Transfer to purchases account		1 0090F

1(b) Ria

Date	Details	Purchases returns journal	\$
------	---------	---------------------------	----

2025			
Jan 30	Darena		24
31	Transfer to purchases returns account		24

1(c) Ria

Dr Purchases account				Cr			
Date	Details		\$	Date	Details		\$
2025				2025			
Jan 1	Balance	6 327	Jan 31	Balance c/d	7 409		
20	Bank	73					
31	Credit purchases for Month OF	1 009					
			7 409				7 409
Feb 1	Balance b/d OF	7 409					

1(d) Ria

Dr Purchases ledger control account				Cr			
Date	Details		\$	Date	Details		\$
2025				2025			
Jan 31	Purchases returns OF	24	Jan 1	Balance b/d	1510		
	Bank (300 + 600 - 18)	882	31	Purchases OF	1009		
	Discount received	18					
	Balance c/d		1 595				
			2 519				2 519
				Feb 1	Balance b/d OF	1 595	

1(e) Advantages

Advertising may attract new customers/increase sales/may increase profits

Key point: need use existing cash bank balance invest capital Risk: need obtain loan overdraft pay interest

Advertising may be recommended for a new business

Disadvantages

Advertising will not necessarily increase sales

May not be able to take advantage of cash discount

Suppliers may charge interest on overdue accounts

Will damage relationship with suppliers

Key point: Suppliers provide further goods until outstanding balance paid

Recommendation

END OF ANSWER

Question 16 | Feb/Mar 2025 Paper 22 Question 2 - 20 marks

2(a) Viraj

Income Statement for the year ended 31 January 2025			
		\$	\$
Revenue			89 600
Less sales returns			2 195
			87 405
Less Cost of goods sold			
Opening inventory	4 500		
Purchases	53 700		
	58 200		
Less Closing inventory	5 900		52 300
Gross profit			35 1050F
Other income			
Rental income (2580 - 516)			2 064
			37 169
Less Expenses			
Rent and insurance	8 760		
General expenses	2 945		
Wages (7350 + 282)	7 632		
Stationery and advertising (710 + 55)	765		
Bank charges (143 + 13)	156		
Depreciation of fixtures and fittings (15% □ 12 500)	1 875	22 133	
Profit for the year			15 0360F

2(b) Viraj

Statement of Financial Position at 31 January 2025			
		\$	
Current Liabilities			
Trade payables	3 125		
Other payables (282 + 55)	337		
Income prepaid (172 □ 3)	516		
Bank overdraft (1 260 + 13)	1 273		
		5 2510F	

2(c)(i) Materiality OR Prudence

2(c)(ii) Money measurement

2(d) Advantages

May attract new customers/may increase sales/may raise profit
 Will help to keep up with the competition/diversify products offered
 May be more efficient (e.g. energy consumption or layout)
 May be better working conditions
 May be able to put his prices up

Risk: able increase rent charge

Disadvantages
 Will require extra capital/loan/increase in overdraft

Risk: need put prices up cover cost refurbishment

May be increased expenses/reduced profit (e.g. interest and depreciation)

Key point: wise spend lot property rented

The existing fixtures and fittings are only two years old
 May not actually result in more sales/more customers/more profit
 Recommendation

END OF ANSWER

Question 17 | Feb/Mar 2025 Paper 22 Question 3 - 20 marks

3(a) Samira 11

Error number	Details	Journal	Debit \$	Credit \$
1	Equipment repairs Equipment		175	175
2	Bank David		264	264
3	Bank loan Bank charges		2 500	2500
4	Stationery Bank			
5	Sales returns Purchases returns Suspense		40 40	80

3(b)

Error number	Effect on profit for the year	Effect on bank balance
1	Overstated by \$175	No effect
2	No effect	Understated by \$264
3	Understated by \$2500	No effect
4	Overstated by \$9	Overstated by \$9
5	Overstated by \$80	No effect

3(c) \$

Original total of debit side of trial balance	97 400
Add Error 5	40
	97 440
Less Error 3	2 500
Corrected trial balance total of trial balance	94 9400F

3(d)(i) Error 1 OR Error 3

3(d)(ii) Error 4

END OF ANSWER

Question 18 | Feb/Mar 2025 Paper 22 Question 4 - 20 marks

4(a) 11

Gross margin	$112000 - (5\,500 + 68\,200 - 5\,700) = \frac{44\,000}{112000} \times 100$	39.29%OF
Profit margin	$(44\,000 \text{ OF} - 21500) \div 225000 \times 100$	20.09%OF

	$\frac{112000}{22\ 500} = \frac{112000}{285\ 000} \times 100 = 7.89\%$	
Return on capital employed		7.89%
	$\frac{68\ 000}{(5\ 500 + 68\ 200 - 5\ 700) / 2} = \frac{68\ 000}{5\ 600} = 12.14$	
Rate of inventory turnover (times)		12.14 times
	$\frac{16\ 000 \times 365}{112000} = 52.14 \text{ days}$	
Trade receivables turnover (days)		52.14 days OR 53 days
	$\frac{16\ 000}{(5100 + 6\ 890) / 2} = \frac{16\ 000}{11990} = 1.33$	
Liquid (acid test) ratio		1.33 :

4(b) May be an increase in irrecoverable debts/decrease in profit because of an increase in irrecoverable debts

May have to increase provision for irrecoverable debts

Key point: delay paying trade payables earn cash discount

May incur additional interest charges if bank overdraft increases

Risk: Trade payables charge interest paid time

4(c) Advantages of investing more capital

Would avoid paying overdraft interest

Risk: improve relationship bank he pays off his overdraft Benefit: incentive improve future profit personal funds invested

Provides funding until his trade receivables turnover can be improved

Disadvantages of investing more capital

More capital is at risk

Return on capital would be reduced

May adversely affect personal financial position

Extra capital is not normally used for short-term finance

Recommendation

END OF ANSWER

Question 19 | Feb/Mar 2025 Paper 22 Question 5 - 20 marks

5(a) \$ \$

Assets			
Pianos at book value	7 200		
Subscriptions in arrears	390	}	
Insurance prepaid	140	}	
Coffee shop inventory	320	}	
Cash at bank	2 045	}	10 095
Liabilities			
Subscriptions in advance	650	}	
Rent accrued	435	}	
Coffee shop trade payables	200	}	1 285
Accumulated fund			8 810

Alternative presentation

Key point: 12 000 4800 390 140 320 2045 650 435 200 88100F

5(b) ABC Piano Club

Dr			Subscriptions account			Cr	
Date	Details	\$	Date	Details	\$		
2024			2024				
Jan 1	Balance b/d	*	Jan 1	Balance b/d	*	650	
Dec 31	Income and expenditureOF	7670	Dec 31	Bank/Cash	7 800		
	Balance c/d	715		Balance c/d		325	
		8 775				8 775	
2025			2025				
Jan 1	Balance b/d	325	Jan 1	Balance b/d	715		

* for both opening balances

for dates

5(c) ABC Piano Club

Dr			Rent and insurance account			Cr	
Date	Details	\$	Date	Details	\$		
2024			2024				

Key point: Coffee shop income statement year ended 31 December 2024

	\$		\$
Revenue			8 320
Cost of sales			
Opening inventory	320	*	
Purchases (3 815 - 200 + 186)	3 801		
	4 121		
Less Closing inventory	382	*both	3 7390F
			4 581
Shop wages			2 600
Profit for the year on shop			1 981 0F

END OF ANSWER

Question 20 | May/June 2025 Paper 21 Question 1 - 20 marks

1(a) Anika

Date	Details	Journal	Debit \$	Credit \$
2025				
March 1	Premises		90 000}	
	Motor vehicles		14 500}	
	Inventory		3 625}	
	Trade receivables - Kofi		3 000}	
	Davia		2 140}	
	Petty cash		86}	
	Bank			1 080}
	Trade payables - Ado			1 925}
	Sam			210}
	Capital			110 136
	Assets, liabilities and capital at this date		113 351	113 351

1(b) Anika 11

Total received	Date		Petty Cash Book	Total paid	Motor expenses	Office expenses	Ledger accounts
\$	2025			\$	\$	\$	\$
86	Mar 1	Balance b/d					
64		Bank					
	6	Petrol	30	30			
	10	Computer paper	12		12		
	17	Sam	48		48		
	21	Postage	6				
	28	Car cleaning	8				
				104	38	18	48
				46			
	31	Balance c/d					
150				150			
46	Apr 1	Balance b/d OF Bank OF					
104							

dates

1(c) Anika

Dr			Sam account			Cr
Date	Details	\$	Date	Details	\$	
2025			2025			
Mar 17	Petty cash 48		Mar 1	Balance b/d 210		
25	Purchases returns0F	57	21	Purchases 114		
31	Balance c/d					
					324	
				Apr 1	Balance b/d0F 219	

END OF ANSWER

Question 21 | May/June 2025 Paper 21 Question 2 - 20 marks

2(a) \$

Cost	10 000
Depreciation 2021 (10 000 × 20%)	2 000
Net book value 31 Dec 2021	8 000
Depreciation 2022 (8 000 × 20%)	1 600
Net book value 31 Dec 2022	6 400
Depreciation 2023 (6 400 × 20%)	1 280
Net book value 31 Dec 2023	5 120

Key point: Total depreciation delivery vehicle 2000 1600 1280 4880F

2(b) Mo

Dr			Disposal of motor vehicles account			Cr		
Date	Details	\$	Date	Details	\$			
2024			2024					
Mar 31	Motor vehicles	10 000	Mar 31	Provision for depreciation of motor vehicles	4 880			
				Bank	2 900			
				Income statement	2 220			
			Dec 31					
		10 000						10 000

2(c) \$

Cost of vehicle	12 500
Number plates	215
Total	12 7150F

2(d) Advantages opening a shop

There would be no motor expenses/no delivery costs
 Can utilise his time on other aspects of the business
 Might increase sales/increase customers/increase profits
 He could sell his vehicle/vehicle is no longer required

Disadvantages of opening a shop
 Cost of converting the farm building into a shop
 Cost of running the shop

Key point: Customers willing travel prefer goods delivered guarantee come spoil

relationship with customers
 New van has just been purchased
 Overall Advantages and Disadvantages Max
 Recommendation

2(e) Mo

Dr			Rental income account			Cr		
Date	Details	\$	Date	Details	\$			
2024			2024					
Jan 1 Balance b/d	160		Mar 1 Bank	320				
Dec 31 Income statement (12 × \$80)	960		Dec 31 Balance c/d	80				720
								1 120
2025								
Jan 1 Balance b/d	80							

2(f)(i) They may sell different types of produce

Mo has a higher selling price than Barry

Risk: Mo cost producing sales lower Barry

2(f)(ii) Barry has to pay rent whereas Mo does not

Mo has lower expenses/controls his expenses better
 Using different accounting methods e.g. different depreciation methods

END OF ANSWER

Question 22 | May/June 2025 Paper 21 Question 3 - 20 marks

3(a) 11

		Entries required to correct the error			
Error		Debit		Credit	
	Account	\$	Account		\$
A payment for wages, \$425, had been debited to the purchases	Wages	425	Purchases		425

account.

Discount allowed, \$19, had been credited to the discount allowed account.

	38	Suspense	38
--	----	----------	----

The total of the sales journal for April 2025 was undercast by \$100.

Suspense	100	Sales	100
----------	-----	-------	-----

A bank payment for purchases, \$170, had not been recorded in the books of account.

Purchases	170	Bank	170
-----------	-----	------	-----

Bank charges, \$15, had been

Bank	90	Bank charges	90
------	----	--------------	----

recorded as \$105.

A bank payment for insurance, \$210, was debited to the bank account. No other entries were made.

Insurance	210		
Suspense	210	Bank	420

3(b) Nabil

Dr				Suspense account				Cr	
Date	2025	Details	\$	Date	2025	Details	\$		
Apr 30		Sales Bank	100	Apr 30		Difference on trial balance	272		
						Discount allowed	38		
			310						310

3(c) \$ \$

Original cash at bank balance		935		
Add Bank charges		90		
		1 025		
Less Purchases	170			
Insurance	420	590		
Corrected cash at bank balance		4350F		

3(d) To enable the customer to compare their records against those of the bank

Benefit: check bank balance cash book against shown bank records Key point: identify reason differences between balance bank column cash book bank statement Key point: discover errors omissions cash book bank records Key point: reconcile bank statement balance cash book help prepare bank reconciliation

END OF ANSWER

Question 23 | May/June 2025 Paper 21 Question 4 - 20 marks

4(a) H Limited

Key point: Statement Changes Equity year ended 30 April 2025

Details	Ordinary Share capital \$	General reserve \$	Retained earnings \$	Total \$
On 1 May 2024	120 000	20 000	33 635	173 635
Profit for the year			26 700	26 700 row
Transfer to general reserve		5 000	(5 000)	- row
Dividends paid			(5 340)	(5 340) row
On 30 April 2025	120 000	25 000	49 995	194 9950F row

4(b) H Limited

Statement of Financial Position as at 30 April 2025

	\$	\$	\$		
Assets					
Non-current assets at book value					
Fixtures and equipment			155 000		
Motor vehicles			16 875		
			171 875		
Current Assets					
Inventory		28 120			
Trade receivables	33 000				
Less Provision for Doubtful Debts	990	32 010	60 1300F		
Total assets			232 005		
Equity and Liabilities					
Equity and Reserves					
Ordinary share capital			120 000 }		
General reserves			25 000 }	0F	

Retained earnings		49 995 }
		194 995
Non-current Liabilities		
5% Debentures		5 000
Current Liabilities		
Trade payables	26 815	
Bank overdraft	5 195	32 010
Total Equity and Liabilities		232 005

4(c) The total funds provided by the owners of a business

The difference between the assets and liabilities of a business

4(d) $26\,700 + 250 \times 26\,950\,100$

$$= \frac{194\,995\,000 + 5\,000\,199\,995\,000}{1} = 13.48\% \text{ OF}$$

Alternative calculation

$$\frac{26\,700 + 250 \times 26\,950\,100}{1} = 13.48\% \text{ OF}$$

Key point: 171875 60 130 32 010 199 99500 1

Key point: Profit adjusted interest debentures 250 5% 5 000

4(e) Points for issuing debentures

Key point: liability once debentures repaid Risk: Issue debentures reduce shareholders stake company debenture holders take active part

running the company/debenture holders do not have a vote
Only have relatively low amount of loans at present
Funds may be available quickly/relatively easy to obtain

Points against issuing debentures

Risk: Interest debentures paid debenture reduces profit fixed year Key point: debenture interest needs paid even company makes loss Benefit: secured against assets company repaid before shareholders liquidated

Debentures have to be repaid/increase liabilities
Funds must be available when repayment is due
Already have commitment to repay existing debentures

Overall For and Against: Max
Recommendation

END OF ANSWER

Question 24 | May/June 2025 Paper 21 Question 5 - 20 marks

5(a) Grace

Manufacturing Account for the year ended 31 March 2025

	\$	\$
Cost of material consumed		
Opening inventory of raw material		5 345
Purchases of raw material		72 870
Carriage inwards of raw material		1 220
		79 435
Less Closing inventory of raw material		7 100
		72 335
Direct wages		29 175
Prime cost		101 5100F
Factory overheads		
Wages of factory supervisor (24 000 + 2 000)	26 000	
Factory power (14 120 + 1 315)	15 435	
Rent and insurance (12 000 $\times$ 65%)	7 800	
Depreciation of factory equipment (180 000 - 64 800) $\times$ 20%	23 040	72 275
		173 7850F
Add opening work-in-progress		13 820 *
		187 605
Less closing work-in-progress		14 390 * for both inventories
Cost of production		173 2150F

5(b) \$

255 - 3 - 15 = 237 $\times$ \$14 value at cost price	3 318
3 $\times$ \$13 value at NRV	39
15 cost = \$14 NRV = 27-1.4 = 25.6 so value at cost	210
Total	3 5670F

5(c) All assets and expenses are recorded at their actual cost

Risk: Factory equipment costs recorded actual original cost

5(d) Points for producing handbags

Key point: dependent suppliers price able produce them cheaply

Not dependent on suppliers for quality
Not dependent on suppliers for reliability
Possibility of higher sales/more customers/higher profit

Points against producing handbags
New equipment may be required
May be cheaper to purchase rather than make
May produce inferior quality goods/customers may be dissatisfied
May not be able to meet demand
May need additional factory space/additional storage space

Risk: Cost production increase raw material need extra employees incur additional factory expenses

Overall For and Against: Max
Recommendation

END OF ANSWER

Question 25 | May/June 2025 Paper 22 Question 1 - 12 marks

1(a) Kadima 12

Date	Details	Disc	Cash	Cash Book Bank	Date	Details	Disc	Cash	Bank
2025			\$	\$	2025		\$	\$	\$
Mar 1	Balance b/d		50	840	Mar 4	Lee	196		
6	Sophiah	9	14	Motor expenses	26				
19	Merve	375	22	Mark	10	240			
28	Bank*		400		28	Cash*		400	
					29	Wages	362		
					30	Motor expenses			91
					31	Balance c/d		62	579
		9**	450	15060F	14**	450	1506		
Apr 1	Balance b/d		62	579					

OFOF

* for both entries of transfer of cash to bank

** for both totals
+ for dates

1(b) \$

Cash book balance	5790F
Cash book error (357 - 375)	(18)
Revised cash book balance	5610F

1(c) For requiring bank transfers and increased cash discount

Record keeping would be easier

Benefit: Increase cash discount attract customers sales

Most businesses use bank transfers

Risk: Money usually safer bank held cash reduces risk theft fraud

No need to visit the bank to pay in cheques
Cheques may be returned unpaid
Cheques take time to clear

Against requiring bank transfers and increased cash discount
Increased cash discount allowed would reduce profitability
Bank charges may increase
Some customers/suppliers may prefer to deal in cash/cheques
some customers may not use bank accounts
Employees may prefer to continue to be paid in cash

Overall For and Against: Max
Recommendation

END OF ANSWER

Question 26 | May/June 2025 Paper 22 Question 2 - 28 marks

2(a) Farah and Salma

Appropriation Account for the year ended 28 February 2025

	\$	\$
Profit for the year		38 175
Add Interest on drawings Farah	*95	
Salma	**210	305
		38 480
Less		
Interest on capital: Farah	1 040 }	
Salma	1 500 }	
	2 540	
Salary - Farah	11 200	13 740
		24 740
Profit share: Farah (30% of 24 740)	7 422 OF	
Salma (70% of 24 740)	17 318 OF	24 740

Key point: Farah 14 250 4% 2 12 95 Salma 5 750 6

2(b) Farah

Dr			Current account			Cr	
Date	Details	\$	Date	Details	\$		
2025			2024				
Feb 28	Drawings 14 250	Mar 1	Balance b/d 3 450				
	Interest on drawings OF 95		2025				
	Balance c/d	8 767	Feb 28	Interest on capital OF 1 040			
				Salary 11 200			
				Share of profit OF 7 422			
		23 112				23 112	
			Mar 1	Balance b/d OF 8 767			

2(c) There may be insufficient money in the bank / reduces liquidity

Key point: limit drawings stated partnership agreement

May damage the relationship between the partners
Salma would have to pay interest on drawings

2(d) Advantages of converting to a limited company

Easier to raise capital / finance / loans
Shareholders have limited liability
Workload / responsibility is shared
Profit may increase
Farah receives an increase in salary

Key point: Limited company continuity existence separate legal identity

Disadvantages of converting to a limited company
Farah and Salma would lose control
The brothers may have no business experience
Increased legal and administrative costs
Cash / profit may be reduced to pay salaries/dividends
The investment may not be sufficient to fund the expansion

Overall Advantages and Disadvantages: Max

Recommendation

END OF ANSWER

Question 27 | May/June 2025 Paper 22 Question 3 - 20 marks

3(a) Jasmine

Dr			Provision for depreciation of motor vehicles account			Cr	
Date	Details	\$	Date	Details	\$		
2025			2024				
			Apr 1	Balance b/d 7 000			
Mar 31	Balance c/d	13 750	2025				
		13 750	Mar 31	Income statement *CF or**	6 750		
			2025			13 750	
			Apr 1	Balance b/d OF 13 750			

Key point: 16 000 7 18 27 25% 6 750 2250 4500 1

3(b) Jasmine

Dr			Provision for doubtful debts account			Cr	
Date	Details	\$	Date	Details	\$		
2025			2024				
Mar 31	Income statement OF 21		Apr 1	Balance b/d 366			
	Balance c/d	345				366	
		366	2025				
			Apr 1	Balance b/d *CF or 345			

Key point: 11 800 300 500 3% 345

3(c) Jasmine

Dr			Rent and Rates account			Cr
Date	Details	\$	Date	Details	\$	
2024			2024			
Apr 1	Balance b/d	900	Apr 1	Balance b/d	270	
2025			2025			
Mar 31	Bank 14 960		Mar 31	Income statement OF	14 850	
	Balance c/d			Balance c/d		925
Apr 1	Balance b/d	925	Apr 1	Balance b/d	185	16 045

3(d) Jasmine

Statement of Financial Position as at 31 March 2025

Current Assets	\$
Trade receivables (11 800 - 300)	11 500
Less Provision for doubtful debts	345 OF
	11 155OF
Other receivables	925
	12 080OF

3(e)(i) Depreciation is charged using the same method each year.

3(e)(ii) Obtaining credit references / Establishing credit limits

Sending invoices and statements promptly
 Improve credit control / monitoring/investigating/chasing overdue accounts
 Refusing to supply customers until outstanding amounts have been paid
 Taking legal action

3(e)(iii) Matching / accruals

END OF ANSWER

Question 28 | May/June 2025 Paper 22 Question 4 - 20 marks

4(a) Bilal 11

Error number	Journal Details	Debit \$	Credit \$
1	Cash	185	
	Purchases		185
2	Motor expenses	27	
	Bank		27
3	Bank loan	2000	
	Capital		2000
4	Purchases	168	
	Maira		84
	Maya		84
5	Drawings	130	
	Insurance		130

4(b) \$

Original profit for the year	12 930
Error 1	185
Error 2	(27)
Error 4	(168)
Error 5	130
Draft profit for the year after correcting errors	13 050OF

4(c) \$

Capital at 1 January 2024	6 200
Revised draft profit	13 050OF
Capital introduced	2 000
	21 250
Less Drawings (11 260 + 130)	(11 390)
Capital at 31 December 2024	9 860OF

END OF ANSWER

Question 29 | May/June 2025 Paper 22 Question 5 - 20 marks

5(a) Rexford

Date		Purchases ledger control account		Date		\$
Details		\$		Details		

2024					2024				
Dec 31	Bank	}	68 100		Jan 1	Balance b/d	5 680		
	Discount received	}	380		Dec 31	Purchases OF	69 900		
	Balance c/d (5 680 + 1.25)		7 100						
			75 580						75 580
					2025				
					Jan 1	Balance b/d	7 100		

5(b) Rexford

Income statement for the year ended 31 December 2024			
	\$	\$	
Revenue (69 500 + 1.5)		104 2500F	
Cost of sales			
Opening inventory	6 000		
Purchases	69 900 OF		
	75 900		
Less Closing inventory	6 400	69 5000F	
Gross profit		34 7500F	
Discount received		380	
		35 130	
Rent and insurance (10 120 + 300)	10 420		
General expenses	4 730		
Wages	6 400		
Depreciation on fixtures and fittings (20% + 28 000)	5 600	27 150	
Profit for the year		7 9800F	

5(c) 21 750 + 104 2500F - 103 200 = 22 8000F*

Key point: Opening trade receivables Revenue Receipts sales Closing

5(d) For employing a bookkeeper

More reliable records / more reliable records / less errors
 More up-to-date figures available, e.g. bank, trade receivables, trade payables
 Time freed up for other tasks

Key point: Payments trade payables monitored cash discount claimed Key point: detailed records available
 reference purposes easier prepare financial statements

Against employing a bookkeeper
 The salary would lower profit / increases expenses
 There would be a reduction in cash/liquidity.

Key point: money better spent elsewhere new fixtures fittings

The book-keeper will not prepare the financial statements
 Overall For and Against: Max
 Recommendation

END OF ANSWER

Question 30 | Oct/Nov 2025 Paper 22 Question 1 - 20 marks

1(a)

Zac Cash book - bank columns					
Dr					Cr
Date	Details	\$	Date	Details	\$
March 31	Balance b/d	825	March 23	Electricity	936
20	Zoe	310	25	Bank charges	58
30	Interest	45	31	Balance c/d	186
		1180			1180
April 1	Balance b/d	1860F			
+ for dates					

1(b) Zac

Bank reconciliation statement at 31 March 2025			
	\$	\$	
Balance shown on bank statement		(1 665)	
Add: Amounts not yet credited - cash and cheques	1 210		
Bank error	1 121	2 331	
		666	
Less: Amounts not yet presented - AC Motors		(480)	
Balance shown on updated cash book		1860F	
Alternative presentation			
Balance shown on updated cash book		1860F	
Add: Amounts not yet presented - AC Motors		480	
		666	
Less: Amounts not yet credited - cash & cheques	1 210		

Bank error
Balance shown on bank statement

1 121 (2 331)
(1 665)0F

1(c) Advantages (Max 3)

Identifies stale cheques sooner
Errors in the cash book identified sooner
Errors on the bank statement identified earlier
Amounts not credited/presented can be identified earlier
Accurate bank account balance available more regularly
Deters / may reduce fraud

Disadvantages (Max 3)

Time consuming / increased workload
More costly
More transactions to record/completed more frequently
The cash book needs to be updated more often

Recommendation

1(d) A cheque is returned unpaid by the bank / which the bank refuses to pay

1(e) Zac

Journal			
Details	Debit \$	Credit \$	
Ali	128		
Bank		128	

END OF ANSWER

Question 31 | Oct/Nov 2025 Paper 22 Question 2 - 20 marks

2(a)(i) Suspense

2(a)(ii) Allows draft financial statements to be prepared / provides a holding account until errors are discovered

2(b)

Jaya Journal				
Error no.	Details	Debit \$	Credit \$	
1	Distribution costs		320	
	Bank			320
2	Inventory		0	
	Suspense			0
3	Suspense	190		
	Sales returns		95	
	Purchases returns		95	
4	Suspense	225		
	ABC Wholesalers		225	
5	Property maintenance	1 220		
	Land & Buildings		1 220	

2(c) Commission

Complete reversal
Omission
Original entry
Principle
Compensating

2(d)

Profit for the year			
Error	Overstated \$	Understated \$	No effect
1	320		
2		700	
3		190	
4			0
5	1220		

(2 Marks) = for correct position for correct amount

END OF ANSWER

Question 32 | Oct/Nov 2025 Paper 22 Question 3 - 20 marks

3(a) \$

Cost	80 000
Depreciation for the year ended 30 April 2022	16 000
Net Book Value	64 000
Depreciation for the year ended 30 April 2023	12 800
Net Book Value	51 200
Depreciation for the year ended 30 April 2024	10 240F
Net Book Value	40 960
Depreciation for the year ended 30 April 2025	8 1920F
Net Book Value	32 768

3(b) Advantages (Max 1)

Matches cost with revenue

Benefit: Appropriate greater benefits gained non current assets early years Key point: provide reliable depreciation net book value asset non current

Disadvantages (Max 1)

Key point: Depreciation recalculated year complicated calculate Risk: charge against profits greater early years non current asset life

3(c) \$

Cost	80 000
Depreciation for the year ended 30 April 2022	16 000
Depreciation for the year ended 30 April 2023	12 800
Depreciation for the year ended 30 April 2024	10 240
Net Book Value at 01 May 2024	(39 040)
Sale proceeds	40 960
Loss on disposal	35 000
	5 960

3(d)(i) Ahmed

Motor vehicles account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2021 Oct 1	Bank	80 000	2025 Feb 1	Disposal	80 000

3(d)(ii)

Ahmed Disposal of motor vehicles account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2025 Feb 1	Motor Vehicles	80 000	2025 Feb 1	Provision for depreciation	39 040F
				Cash	35 000
			April 30	Income statement	5 9600F
		80 000			80 000

3(e) Advantages (Max 3)

Saving on hire costs
Improve revenue / profit

Risk: risk he trialled hired short period

Increases non-current assets

Disadvantages (Max 3)

Risk: larger recovery vehicle cost smaller

Hire costs will have to be paid for six months
Interest charges on loan

Key point: Bank agree loan require some form security loans repaid

Proceeds from sale may have been used elsewhere
Recommendation

END OF ANSWER

Question 33 | Oct/Nov 2025 Paper 22 Question 4 - 20 marks

4(a)

Ratio	Improved or Deteriorated	Possible reasons for the change
Return on Capital Employed (ROCE)	Deteriorated	Introduction of additional capital/loans Profit for the year decreased.
Gross margin	Improved }	Sold goods at higher prices Bought goods at cheaper prices Improved rate of trade discount received
Profit margin	Deteriorated } both	Increased expenses Other income decreased Percentage of expenses to revenue increased Decreased sales volume / revenue
Rate of inventory turnover (times)	Improved }	Increased demand Less goods purchased / lower closing inventory Reduced selling prices leading to higher sales
Liquid (acid test) ratio	Deteriorated } both	Increased trade payables / current liabilities Decreased trade receivables / bank / cash

4(a)

Ratio	Improved or Deteriorated	Possible reasons for the change
Return on Capital Employed (ROCE)		
Gross margin	Deteriorated	Sold goods at lower prices Bought goods at higher prices Lower rate of trade discount received
Profit margin	Improved	Decreased expenses Other income increased Percentage of expenses to revenue decreased Increased sales volume / revenue
Rate of inventory turnover (times)	Deteriorated	Decreased demand More goods purchased / higher closing inventory Increased selling prices leading to lower sales
Liquid (acid test) ratio	Improved	Decreased trade payables / current liabilities Increased trade receivables / bank / cash

Key point: Please note Own Rule applies question

4(b)

A Limited Provision for doubtful debts account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
			2024 April 1	Balance b/d	6 920
2025 March 31	Balance c/d	11 970	2025 March 31	Income statement	5 050
		11 970			11 970
			2025 April 1	Balance b/d	11 970

4(c)(i) It is an estimate of the amount which a business will lose in a financial year because of irrecoverable debts.

4(c)(ii) Prudence

OR
Matching

4(d) In favour of delaying payment to trade payables (Max 3)

Able to purchase the equipment at a cheaper price
No finance costs
No need to source other methods of finance
No security required

Against delaying payment to trade payables (Max 3)
Damage supplier relations / not supply goods
Increased interest payments
Loss of any cash discounts

Key point: sufficient cash available pay equipment

Other sources of finance available
Recommendation

END OF ANSWER

Question 34 | Oct/Nov 2025 Paper 22 Question 5 - 20 marks

5(a) GH Company 13

Manufacturing Account for the year ended 31 March 2025

Cost of materials consumed	\$	\$
Opening inventory		21 700 *
Purchases		280 050
		301 750
Less closing Inventory		16 400* both
		285 350
Operatives wages		241 200
Prime cost		526 550F
Factory Overheads		
Factory Supervisors salaries	48 240	
Rent and rates (10 060 ÷ 60%)	6 036	
Electricity charges (9 344 / 8 * 5)	5 840	
Insurance (18 400 ÷ 50%)	9 200	
Factory General expenses	27 640	
Depreciation of machinery (427 000 - 187 000) ÷ 15%	36 000	
		132 956
		659 506 OF
Work in Progress		
Opening Work in Progress		83 440 **
		742 946
Closing Work in Progress		92 510** both
Cost of Production		650 436 OF

5(b)

GH Company

Key point: Trading section Income Statement year ended 31 March 2025

	\$	\$
Revenue		1 107 272
Cost of sales		
Opening inventory finished goods	76 370 *	
Cost of production	650 436OF	
Purchases of finished goods	122 430	
Carriage in	2 242	
	851 478	
Less closing inventory of finished goods	49 660* both	(801 818)OF
Gross profit		305 454OF

END OF ANSWER

Question 35 | Oct/Nov 2025 Paper 23 Question 1 - 20 marks

1(a) 12

Date	Details	Total received	Date	Details	Total paid	Cleaning	Fuel	Office expense	Travel expense
2025		\$	2025		\$	\$	\$	\$	\$
Apr 1 Balance		350.00	Apl 3	Fuel 36.00	36.00				
			4	Tea, coffee, juice	34.00			34.00	
			9	Taxi fare 24.00				24.00	
			11	AB Autoparts 78.00					78.00
			12	Printer paper 8.00			8.00		
			14	Window cleaning	30.00	30.00			
			27	Train ticket 8.50				8.50	
			30	Office cleaning	45.00	45.00			
				Balance c/d	263.50	75.00	36.00	42.00	32.50
					86.50				
					350.00				
2025									
May 1	Balance b/d OF	86.50							
	Bank OF	263.50							

Dates

1(b) Imprest

1(c) Max 1

Risk: Reduces number entries cash book general ledger

- Reduces the possibility of theft/fraud
- Provides training for junior employees
- Reduces the workload of the chief cashier

1(d) Max 2

Overpayment/underpayment by petty cashier
 Missing petty cash voucher/petty cash voucher not recorded
 Error in recording entry in petty cash book
 Fraud/theft

1(e) Sid

Details		Journal	
		Debit \$	Credit \$
Drawings		1 500	
Bank			1 500
Purchases		664	
AB Autoparts			664

END OF ANSWER

Question 36 | Oct/Nov 2025 Paper 23 Question 2 - 20 marks

2(a) Jenny

Dr			Sales ledger control account			Cr	
Date	Details	\$	Date	Details	\$		
2025			2025				
Feb 1	Balance b/d	1 895	Feb 28	Sales returns	7 300		
28	Sales	42 600		Discount allowed	1 265		
	Interest charged	510		Irrecoverable debts	1 040		
	Balance c/d	750		Contra entries	2 850		
		45 755					45 755
			2025				
			Mar 1	Balance	750		

Dates

2(b) Max 1

Book-keeping can be divided between several members of staff

Key point: Detail removed general ledger removes sales

Useful for the preparation of control accounts
 Provides total of credit sales
 Useful for collating and summarising information about credit sales

2(c)

Book of prime entry	Source document	Issued or received
Sales journal	Invoice	Issued Row
Purchase returns journal	Credit note	Received Row

2(d)(i) An allowance given when an account is settled within a specified time period

2(d)(ii) A reduction in the list price of goods/allowance to encourage bulk buying

2(e) Debit note

2(f) Arguments for creating a provision for doubtful debts

Key point: Profit year overstated expenses understated Key point: Trade receivables shown realistic overstated current assets

Applies the principle of matching/accruals
 Applies the principle of prudence

Arguments against creating a provision for doubtful debts

Key point: Provision estimate accurate ensure customer pay

May be difficult to estimate the amount of doubtful debts
 Has to be re-calculated each year/ time consuming

Risk: Profit year reduced expenses increased larger impact profit first

Recommendation

END OF ANSWER

Question 37 | Oct/Nov 2025 Paper 23 Question 3 - 20 marks

3(a)

Return on Capital employed (ROCE)	
$\frac{36\,000 + 2450}{223100} \times \frac{38\,450}{272100} \times 100$	14.13% OF
Rate of inventory turnover	
$\frac{30\,000 + 310\,000}{(34\,000 + 30\,000)/2} \times \frac{306\,000}{32000}$	9.56 times OF
Trade receivables turnover (days)	
$\frac{44\,000}{387\,000} \times 365$	42 days
Trade payables turnover (days)	
$\frac{31000}{310\,000} \times 365$	37 days
Current ratio	
$\frac{92\,900}{40\,800}$	2.28:1

3(b)(i) Max 2

raise profit for the year/reduce expenses
 Reduce capital/increase drawings/withdraw capital
 Repay long-term loan/reduce long term liabilities

3(b)(ii) Max 2

Increase quantity sold/ increase demand/start marketing campaign/make special offers
 Reduce selling prices/increase trade discount allowed to customers
 More efficient stock control/purchase less inventory/'just in time' purchasing

3(c)(i) Inventory should be valued at the lower of cost or net realisable value

3(c)(ii) Prudence

3(c)(iii)

Effect on Rushil's gross profit	
Increase	Decrease
	YES

3(d) Arguments for offering a cash discount

Benefit: improve cash flow money available use within encourage customers pay quicker

May improve relationship with customer/improve customer loyalty
 May improve sales/attract more customers
 May reduce irrecoverable debts

Arguments against offering a cash discount

Increase expenses/lower profit for year/lower profit margin
 Less cash received on each sale
 No guarantee customers will pay in the time specified
 Does not necessarily reduce irrecoverable debts
 May be time consuming to monitor
 Book-keeping more time-consuming

Key point: Customer deduction 2 5% discount they pay within required timescale

Recommendation

END OF ANSWER

Question 38 | Oct/Nov 2025 Paper 23 Question 4 - 20 marks

4(a) Talula

Income statement for the year ended 30 September 2025

	\$	\$
Income from hairdressing		124 700
Rent receivable (6400 + 1280)		7 680
		132 380
Less Salaries	81 500	}
Electricity charges	23 500	}
Water charges	4 150	}
General expenses	952	}
Insurance (2 067/13 × 12)	1 908	}

Property tax (3 045//15 □ 12)
Profit for the year

2 436

114 446

17 9340F

4(b)

Suggested course of action	Impact on the business
Increase service prices	Reduce number of customers
Change electricity supplier	May be time consuming OR May not be able to get a cheaper supplier
Increase rent charged to Sheila	Sheila may move out/lose income OR Dissatisfied tenant
Reduce opening hours/hours worked by hairdressers	Cannot maintain current level of income OR Damage relationship with employees/customers

Risk: Reduce employee rates pay staff numbers Employees happy leave

Quality of service reduced if fewer staff

Or other relevant courses of action and impact

Key point: Identify 2 courses action identifying course impact

4(c) Arguments for accepting card payments

Benefit: Meet customer needs convenient customers options payment improve relationship

Increased sales/increased customers
Lower amount of cash held on premises/reduced risk of theft
Reduced administration costs/saves time in counting cash
Hairdressers may save time

Arguments against accepting card payments

Reduction in profit because of rental fee and transaction charge
Must consider cost of purchasing cash register
Staff may need training
Customer numbers may not increase

Recommendation

4(d) Max 3

Additional finance available
Additional skills and knowledge included in the business
Sharing of responsibilities
Risks are shared
Losses are shared

4(e) Max 3

Amount of capital invested by each partner

Key point: interest capital paid what rate Key point: partners salaries paid what

If an upper limit placed on partners drawings

Risk: interest drawings charged what rate

Rate at which interest on partners' loans will be paid
Responsibilities of each partner

END OF ANSWER

Question 39 | Oct/Nov 2025 Paper 23 Question 5 - 20 marks

5(a)(i) Money spent on purchasing, improving or extending non-current assets

5(a)(ii) Money spent on day to day running a business

5(a)(iii) Money received from a source other than normal trading activities

5(a)(iv) Money received by a business from normal trading activities

5(b)

Item	capital expenditure	revenue expenditure	capital receipt	revenue receipt
Delivery charges for new office equipment	YES			
Repairs to the roof of an existing building		YES		
Painting of a new extension to the factory	YES			
Proceeds from the sale of a motor vehicle			YES	

5(c)

P Limited

Statement of Changes in equity (retained earnings)
for the year ended 30 June 2025

	\$
Balance at 1 July 2024	46 220 }
Profit for the year	37 350 }
Dividend paid (interim)	(36 400)
Transfer to general reserve	(8 000)
Balance at 30 June 2025	39 1700F

5(d)

P Limited
Statement of Financial Position at 30 June 2025

	\$ Cost	\$ Provision f or depreciation	\$ Net Book Value
Non-current assets			
Land and buildings		205 000	205 000
Equipment	59 600	11 324	48 276 }
Vehicles	83 000	23 030	59 970 }
	347 600	34 354	313 2460F
Current assets			
Inventory		33 000	
Trade receivables	57 040		
Less Provision for doubtful debts	2 282	54 758	
Cash		2 100	89 8580F
Total assets			403 104
Equity			
Ordinary share capital			230 000
General reserve (16 300 + 8000)			24 300
Retained earnings			39 1700F
			293 470
Non-current liabilities			
6% Debentures		32 000	
Bank loan		22 000	54 000
Current liabilities			
Trade payables		44 890	
Other payables		5 700	
Bank overdraft		5 044	55 6340F
Total equity and liabilities			403 104

END OF ANSWER